

CROATIA 2016

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at <http://www.oecd.org/els/soc/benefits-and-wages-country-specific-information.htm>.

1. Overview of the tax-benefit system

1.1. Average Worker wage (AW)

The national currency is the Croatian kuna (HRK).

In period January to December 2016 in Croatia average monthly gross earnings for activities B-N (by NACE Rev. 2) amounted to 7 442 kuna (annual value 89 305 kuna).

In period January to December 2016 in Croatia average monthly gross earnings for all activities amounted to 7 752 kuna (annual value 93 024 kuna).

In order to reduce response burden starting with January 2016 administrative source was used to compile data on average monthly gross earnings.

Data from January 2016 and onwards are not comparable to previous monthly data. The table below provides approximate estimates for previous years.

Year	MONTHLY - Average gross wage in Croatia (total economy)	ANNUAL - Average gross wage in Croatia (total economy)	MONTHLY - Average gross wage in Croatia (activities B-N)	ANNUAL - Average gross wage in Croatia (activities B-N)
2013	7482 ¹⁾	89784 ¹⁾	7087 ¹⁾	85044 ¹⁾
2014	7491 ¹⁾	89892 ¹⁾	7124 ¹⁾	85488 ¹⁾
2015	7610	91320	7278	87336
2016	7752	93024	7442	89304

Note: ¹⁾ estimation

2. Unemployment insurance

Unemployment insurance is regulated, primarily, by the Act on Employment Mediation and Unemployment Rights (Official Gazette, Nos. 80/08, 94/09, 121/10, 25/12, 118/12, 12/13 and 153/13).

Unemployment cash benefit is granted to an unemployed person for a duration that depends on the previous period of employment.

With the Act on Amendments of the Act on Employment Mediation and Unemployment Rights (Official Gazette, No 153/13), the right to unemployment benefit of extended duration ceased to exist, as the social care for long-term unemployed has been allocated into social welfare system (guaranteed minimum benefit, presented in the Chapter 4 of this Questionnaire).

Program name in local language		Novčana naknada za vrijeme nezaposlenosti (Unemployment cash benefit)
Insurance is voluntary(V) or compulsory(C) for employees		Compulsory. Employers pay compulsory contributions for their employees. Self-employed persons pay contributions for themselves.
Employment record (E) and contribution (C) conditions		E + C: 9 months in 2 years before termination of employment.
Waiting period (days)		Conditions when person, for a temporary period of time, can't acquire the benefit are described under „2.1 conditions for receipt“ in the last paragraph.
Maximum duration (months)		450 calendar days
Uprating mechanism of the benefit		Basis for determining an amount of the benefit is beneficiary's own gross salary deduced for pension contributions (20% of the gross), but maximum amount of benefit is set according to Average net salary in Croatia for a previous year.
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	Until day 90: 70%
	benefit at the end of legal entitlement period in % of calculation base	from day 91: 35%
	Calculation base	Gross less SSC (20%)
	Permitted employment and disregards when receiving unemployment insurance benefit	No for regular employment (labour contract). But possible for temporary service contract with income below the threshold
Benefit provision (eligibility (E)),	age	No
	family situation	No

generosity (G)) varies with	contract type	No
	other	G - Previous period of employment

2.1 *Conditions for receipt*

1. Unemployment cash benefit

The most important conditions for unemployed person to obtain unemployment benefit are following:

- involuntary unemployment (i.e. through no fault of their own or against his/her own will),
- fulfilment of a minimum period of insurance (at least 9 months on insurance period in 24 months before termination of employment),
- registration at the Croatian Employment Service
- application for benefit within 30 days of the termination of employment,
- capable of work,
- actively seeking employment.

Act on Employment Mediation and Unemployment Rights treats person as unemployed if he/she is capable or partially capable for work, years of age 15-65, with no work relations, actively seeking employment (in cooperation with Croatian Institute for Employment), available for work (follows instructions of the Institute in order to conceive employment) and:

- doesn't acquire a monthly income from performing services according to special regulations (like temporary service contract) or other income according to regulations on Income Act (various types of income like scholarships, royalties and other), in an amount higher than average unemployment benefit paid in previous year (1 817 kuna),
- hasn't got a registered company or other legal entity or doesn't own more than 25% of shares in a company or other legal entity,
- is not a member of co-operative
- is not a president, member of the board of director or executive director in a company, or manager in a co-operative
- hasn't got a registered trade, freelance, farming or forestry activity,
- doesn't perform handicraft business, or secondary profession according to special regulations
- is not insured as a farmer according to pension regulations,
- is not employed under special regulations,
- is not a pension beneficiary, except pension beneficiary of disability pension due to occupational disability to work, disability pension for partial inability to work and beneficiary of survivors pension who doesn't receive this pension at the moment,
- doesn't fulfill conditions for old age pension,
- is not insured in extended pension insurance on the grounds of job contract for limited time for steady seasonal jobs,
- temporary unemployability is not determined for him from the professional rehabilitation center,
- is not a regular pupil or student.

Croatian Institute for Employment registers unemployed person after application to the Institute.

Unemployed person has no right to unemployment benefit if his/her employment was terminated:

- by that person, except in case of emergency termination of employment caused by the conduct of the employer,
- due to a written agreement on termination of employment, except if this agreement was closed on employer's proposal in a case of surplus labour support according to special regulations
- because the person did not meet expectations during probation work or has failed to meet during training or internship, or did not pass the exam within the prescribed deadline which is set by special provisions as a condition for continuance of employment,
- ordinary dismissal caused by employee's misconduct, or extraordinary dismissal for severe misconduct of work obligations or official duty
- due to pronounced prison sentence longer than 3 months.

Unemployed person that had no justified reason to stop performing self-employment activity has no right to unemployment benefit. Justified reasons could be insolvency or illiquidity according to regulations on financial operations and pre-bankruptcy settlement, closing of bankruptcy proceedings, profit loss, loss of business premises, loss of privilege or permission to perform activity prescribed by special regulation, illness of insured person, end of business partnership, grave damage of insured person's property, natural disaster or disaster caused by force majeure, other justified reasons proved by insured person.

Unemployed person loses the right to unemployed benefit if:

- person establishes working relations,
- the time period set for payment of unemployed benefit elapses,
- person is performing work without certificate, contract, or obligatory decision,
- person registers a company or other legal entity or acquires more than 25% of shares in a company or other legal entity,
- person becomes a member of co-operative
- person becomes a president, member of the board of director or executive director in a company, or manager in a co-operative
- person registers a trade, freelance, farming or forestry activity,
- persons starts performing handicraft business, or secondary profession according to special regulations
- person becomes insured as a farmer according to pension regulations,
- person becomes employed under special regulations,
- person fulfils the requirements for an old-age pension, exercises a right on anticipated old age pension, starts receiving survivors pension, exercises a right on disability pension due to general inability to work, disability pension for complete loss of capability to work, disability pension due to occupational disability for work or disability pension for partial inability to work in the amount higher than the amount of unemployment benefit,
- general inability to work or complete loss of capability to work has been established,
- person acquires a cash assistance under special regulations in an amount higher than the one determined for unemployment benefit,
- person start serving prison sentence which is longer than three months,
- person reaches 65 years of age,
- person refuses participation in education program or terminates it without a valid reason, or does not complete an education which was, after the assessment of psychophysical capabilities of

person, organised and financed by the Croatian Employment Service, in order to increase its employability,

- person does not meet conditions relating to active job search and availability for work, and also doesn't perform activities from her professional plan in determined dynamics
- person unregisters itself from the records of Croatian Employment Service.

Unemployed person temporary can't acquire the right to unemployed benefit:

- if he acquires a monthly income from performing services according to special regulations (like temporary service contract) or other income according to regulations on Income Act (various types of income like scholarships, royalties and other), in an amount higher than average unemployment benefit paid in previous year (1 817 kuna). In that case, person can acquire unemployment benefit again after certain period of time that is calculated in months by division of earned other income or income from services and average unemployment benefit paid in previous year.
- during voluntary military service
- during prison sentence up to 3 months
- during custody
- during professional development without conceiving employment
- during maternity, parental, adoptive or custodial exclusion from work or care for a new-born child
- during temporary unemployability determined by professional rehabilitation center

Person can acquire the right for this benefit again when this circumstances cease to exist.

2. Cash assistance to a person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs

According to Pension Insurance Act, in a period when person is not insured in compulsory pension insurance, he has a possibility to be insured in extended pension insurance. One of the conditions for which this is possible, is during temporary or seasonal hold of performing jobs and also after termination of job contract for limited period for steady seasonal jobs.

Beneficiary loses a right for benefit:

- if he acquires regular employment
- if he acquires a monthly income from performing services according to special regulations (like temporary service contract) or other income according to regulations on Income Act (various types of income like scholarships, royalties and other) in an amount higher than average unemployment benefit paid in previous year (1 817 kuna).
- during voluntary military service
- during prison sentence
- during custody
- during maternity, parental, adoptive or custodial exclusion from work or care for a new-born child
- if he is performing work without certificate, contract, or decision
- if he registers a company or other legal entity or acquires more than 25% of shares in a company or other legal entity
- if he becomes a member of co-operative

- if he becomes a president, member of the board of director or executive director in a company, or manager in a co-operative
- if he registers a trade, freelance, farming or forestry activity
- if he starts performing handicraft business, or secondary profession according to special regulations
- if he becomes insured as a farmer according to pension regulations
- if he becomes employed under special regulations
- if he fulfils the requirements for an old-age pension, exercises a right on anticipated old age pension, starts receiving survivors pension, exercises a right on disability pension due to general inability to work, disability pension for complete loss of capability to work, disability pension due to occupational disability for work or disability pension for partial inability to work in the amount higher than the amount of unemployment benefit
- if general inability to work or complete loss of capability to work has been established
- if he acquires a cash assistance under special regulations in an amount higher than the one determined for cash assistance
- if he reaches 65 years of age

2.1.1 *Employment conditions*

1. Unemployment cash benefit

The right to unemployment benefit is granted to an unemployed person who has performed a job for at least 9 months in the period of 24 months before termination of employment.

Besides work period, following periods also account as insurance time: time spent on sick leave or maternity, parental, adoptive or custodial leave after the termination of employment or service, if a worker received a salary compensation during a leave.

2. Cash assistance to a person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs

A person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs is, in a sense of becoming a beneficiary of this assistance, a person who has performed seasonal jobs for at least 6 months for the same employer, and will work for him for at least 3 seasons or has been working for him at least 3 seasons.

This benefit is granted to a person, for whom Croatian Institute for Employment approves and co-finances costs of extended pension insurance (social contributions).

2.1.2 *Contribution conditions*

1. Unemployment cash benefit

According to the Contributions Act (Official Gazette, Nos. 84/08, 152/08, 94/09, 18/11, 23/12, 144/12, 148/13, 41/14 and 143/14), employment contributions are paid for the following categories:

- person employed by an employer
 - payer of contributions is employer

- person elected or appointed to representative or executive bodies
 - payer of contributions is representative or executive body of state or unit of regional or local self-government
- assigned employee
 - payer of contributions is employer or another person that pays salary to the insured person instead of employer
- caregiver of Croatian Homeland War invalid
 - payer of contribution is a ministry authorised for the rights of the Croatian Homeland War defenders
- parent-caregiver and caregiver
 - payer of contribution is the ministry responsible for social welfare issues.
- self-employed persons
 - payer of contribution is a self-employed person
- farmer registered as head or member of family run farm, forest owner and members of his household
 - these categories pay contributions for themselves
- members of board of directors, executive director and manager of co-operatives
 - these categories pay contributions for themselves

2. Cash assistance to a person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs

This benefit is granted to a person, for whom Croatian Institute for Employment approves and co-finances costs of extended pension insurance. Institute pays full amount of compulsory pension contributions for first 3 months of extended pension insurance and 50% of pension contributions for next three months (employer pays the rest of the cost). Contributions of 20% are paid on the prescribed basis (2 812,95 kuna).

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

1. Unemployment cash benefit

The basis for determination of the unemployment benefit amount is beneficiary's average gross salary, decreased by contributions for compulsory pension insurance (20% of the gross), acquired in a three-month period preceding the termination of employment. The basis for benefit acquired by self-employed persons is average basis on which the compulsory contributions were calculated and paid in a period of three months before termination of self-employment activity.

If the basis cannot be determined as described above, the basis for an unemployed person is determined in the amount of the minimum salary, decreased by contributions for compulsory pension insurance, all depending on a time spent at work.

Unemployed person that has acquired the benefit can, under some conditions, file a claim for remaining amount of benefit to be paid to him as a lump sum. This right is acknowledged for the purposes of opening a craft (trade) or independent profession (free lance), also for employment in a trade company in which a

beneficiary does not have more than 25% share, and for establishment of a trade company and employing therein.

The unemployment benefit for the first 90 calendar days amounts to 70% of prescribed basis while for the remaining time it decreases to 35% of the basis.

Unemployed person who, while receiving unemployment benefit, acquired the right for a disability pension due to occupational incapacity to work (partial loss of work capability), as well as the person who acquired a compensation under special provisions in the amount below the amount of unemployment benefit, is entitled to the difference between disability pension/compensation and the unemployment benefit initially determined for him.

The maximum amount of unemployment benefit for the first 90 days cannot be higher than 70% (3 998 kuna), and for the remaining time cannot be higher than 35% (1 999 kuna) of the average net salary paid in the Croatian economy in the previous year, according to the latest officially published data. The average monthly net salary paid in the Croatian economy in 2015 was 5 711 kuna.

The minimum amount of the benefit cannot be lower than 50% of the minimum salary (gross) decreased by contributions for compulsory pension insurance (1 248 kuna), except in the case where the amount of benefit is determined according to the percentage of time spent at work. Minimum salary in 2016 was set at 3 120 kuna (gross).

2. Cash assistance to a person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs

Cash assistance granted for first 3 months of benefit duration is equal to 60% of beneficiary's gross salary achieved in period of 3 months before termination of seasonal employment, and it cannot be lower than unemployment benefit that a beneficiary would achieve if he had a status of unemployed person. Cash assistance for remaining period is equal to 50% of the assistance paid for first 3 months.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

A beneficiary temporary cannot acquire the right to unemployment benefit, if he acquires a monthly income from performing services according to special regulations (like temporary service contract) or other income according to regulations on Income Act (various types of income like scholarships, royalties and other) in an amount higher than average unemployment benefit paid in previous year (1 817 kuna). If a beneficiary has earned that type of income but lower than the average unemployment benefit, he continues to receive the benefit without interruptions. If a beneficiary establishes work relations (regular employment with salary), the right ceases.

2.3 *Tax treatment of benefit and interaction with other benefits*

All benefits described in this chapter are not subjected to income tax.

Person cannot simultaneously receive unemployment cash benefit and: other benefits related to unemployment (chapters 2 and 3); benefits paid during maternity and parental leaves; up-to employment benefit and parent caregiver benefit; other benefits if a benefit amount is higher than unemployment benefit

(if an amount of other benefit is lower than unemployment benefit, then person receives the difference between two amounts).

Unemployment benefit is regarded as income that influences granting the child allowance (chapter 6), guaranteed minimum benefit and assistance in settling of housing and heating costs (chapters 4 and 5).

2.4 *Benefit duration and waiting periods*

1. Unemployment cash benefit

Unemployment cash benefit is granted to the unemployed person for a period that depends on the previous period of employment, namely:

- 90 days if the person has spent 9 months to 2 years at work,
- 120 days if the person has spent more than 2 years at work,
- 150 days if the person has spent more than 3 years at work,
- 180 days if the person has spent more than 4 years at work,
- 210 days if the person has spent more than 5 years at work,
- 240 days if the person has spent more than 6 years at work,
- 270 days if the person has spent more than 7 years at work,
- 300 days if the person has spent more than 8 years at work,
- 330 days if the person has spent more than 9 years at work,
- 360 days if the person has spent more than 10 years at work,
- 390 days if the person has spent more than 15 years at work,
- 420 days if the person has spent more than 20 years at work,
- 450 days if the person has spent more than 25 years at work.

The right to cash benefit can be re-applied in case of obtaining new insurance period of at least 9 months in last 24 months.

In case of repeated acquirement of the right to cash benefit, the insurance period taken into account for the previous cash benefit shall not be included in the insurance period for the acquisition and the calculation of the new cash benefit.

An unemployed person who, due to re-employment, lost the right to unemployment benefit before the expiry of the time for which it was granted, and who again became unemployed by no fault of his own has the right to continued payment of benefit for the remaining part of the initially established duration, and in an initially established amount.

2. Cash assistance to a person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs

Beneficiary can receive this benefit for 6 months of extended pension insurance period at the most.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

2.5.2 *Older workers*

An unemployed person who spent more than 32 years working and needs maximum of 5 years to fulfil the age limit for old-age pension shall be entitled to unemployment benefit until reemployment or until the occurrence of other circumstances which cause the termination of the right to this benefit. So, older workers are treated more favourably in regard that the period in which they receive the unemployment benefit is not limited as for other unemployed persons (explained in 2.4).

The statutory age limit for old-age pension for men is 65 years. For women the age limit is increasing by 3 months each year until it reaches 65 years. In 2016, the age limit for women was 61 years and 6 months.

2.5.3 *Others if applicable, including disabled*

3. Unemployment assistance

a) Cash allowance during vocational training

The right to the cash allowance is provided to the unemployed person assigned to the vocational training by the Croatian Employment Service (right to reimbursement of travel expenses is also acquired). During the training, if the person is entitled to the unemployment benefit described in chapter 2, he holds that right. Unemployed person whose right to unemployment benefit expires during the training, has the right to the cash allowance until the end of training.

b) Financial assistance during professional development without conceiving employment

A measure of professional development without conceiving employment is intended for unemployed persons with less than one year of pension insurance period in his vocation who are registered at Croatian Institute for Employment for at least 30 days. Namely, private and public entities, if they satisfy certain conditions, can admit above mentioned category of people, who can then work for a period of one year. They do not sign a working contract but a contract on professional development without conceiving employment (they have a mentor who is responsible for their professional development). During this one year person does not receive a salary, but a financial assistance. This assistance is paid by the Croatian Employment Service, including the reimbursement of travel expenses.

c) Lump-sum cash allowance for employment in place other than place of residence

The unemployed person to whom the Croatian Employment Service is not capable to provide a job in his place of residence, and who, either on his own or by the mediation of the Service, finds a job in another place, is entitled to the cash lump-sum allowance. Also, a beneficiary is entitled to the reimbursement of travel and resettlement expenses for himself, his spouse and children, from the place of residence to the place of employment.

3.1 Conditions for receipt

a) Cash allowance during vocational training – There are no employment or contribution conditions in order to acquire the benefit. Act on Employment Mediation and Unemployment Rights treats a person as unemployed if he is capable or partially capable for work, between 15 and 65 years of age, with no work relations, actively seeking employment (in cooperation with Croatian Institute for Employment), available for work (person follows instructions of the Institute in order to conceive employment) and fulfils other conditions to be treated as unemployed, already described in chapter 2.

b) Financial assistance during professional development without conceiving employment – unemployed person, in order to apply for this measure, must have below one year of pension insurance period in his vocation and to be registered at Croatian Institute for Employment for at least 30 days. Croatian Institute for employment reimburses the costs of social contributions (pension and health insurance contributions) paid by employer for a beneficiary of this measure.

c) Lump-sum allowance for employment in place other than place of residence - there are no employment or contribution conditions to acquire this benefit. However, there are other conditions that have to be met in order to receive this benefit:

- place of employment is at least 80 km from the place of residence,

- unemployed person signs a job contract for at least 6 months and changes his place of residence for that reason.

Unemployed person loses the right to cash allowance during vocational training and professional development if he:

- establishes working relations for a period longer than vocational training or professional development without conceiving employment,
- cancels vocational training or professional development without conceiving employment,
- is performing work without certificate, contract, or obligatory decision,
- registers a company or other legal entity or acquires more than 25% of shares in a company or other legal entity,
- becomes a member of co-operative
- becomes a president, member of the board of director or executive director in a company, or manager in a co-operative
- registers a trade, freelance, farming or forestry activity,
- starts performing handicraft business, or secondary profession according to special regulations
- becomes insured as a farmer according to pension regulations,
- becomes employed under special regulations,
- fulfils the requirements for an old-age pension, exercises a right on anticipated old age pension, starts receiving survivors pension, exercises a right on disability pension due to general inability to work, disability pension for complete loss of capability to work, disability pension due to occupational disability for work or disability pension for partial inability to work in the amount higher than the amount of unemployment benefit,
- has been determined with general inability to work or complete loss of capability to work,
- acquires a right to maternity, parental, adoptive or custodial exclusion from work or care for a new-born child
- starts serving prison sentence which is longer than three months,
- reaches 65 years of age,
- unregisters itself from the records of Croatian Employment Service.

Unemployed person temporary can't acquire the right to cash allowance during vocational training and professional development:

- if he establishes working relations for a period not longer than vocational training or professional development without conceiving employment,
- if he acquires a monthly income from performing services according to special regulations (like temporary service contract) or other income according to regulations on Income Act (various types of income like scholarships, royalties and other) in an amount higher than average unemployment benefit paid in previous year (1 817 kuna).
- during sick leave
- during prison sentence up to 3 months
- during custody
- during voluntary military service
- during temporary unemployability determined by professional rehabilitation center.

Person can acquire the right for this benefits again when these circumstances cease to exist.

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

a) cash allowance during vocational training amounts 50% of gross minimum wage deduced for compulsory contributions (20% of gross), proportionally to days in which person was present at the training. Minimum salary in the gross amount, in 2016 was equal to 3 120 kuna and benefit amount was equal to 1 248 kuna.

Reimbursement of travel expenses is paid in the amount of actual expenses of traveling by means of public transportation for the period when a beneficiary was attending vocational training.

b) amount of cash assistance for persons who closed contract on professional development without conceiving employment is regulated by Government's Decision. Assistance is determined proportionally to the period that person was present at professional development. From the year of 2015, cash assistance is equal to 2 400 kuna, while in previous years it amounted 1 600 kuna.

c) lump-sum cash allowance for employment in place other than place of residence amounted 1 200 kuna. The amount is prescribed by Decision act of Croatian Institute for Employment. Reimbursement of travel expenses are paid for just one trip from place of residence to place of employment in the amount of actual costs of public transportation (train or bus), but the amount cannot be higher than 300 kuna per each person. Resettlement expenses are reimbursed in the amount of 50% of resettlement by cheapest means of transportation, but the amount cannot be higher than 1 000 kuna.

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

A beneficiary temporary cannot acquire the right to vocational training or professional development benefit, if he acquires a monthly income from performing services according to special regulations (like temporary service contract) or other income according to regulations on Income Act (various types of income like scholarships, royalties and other) in an amount higher than average unemployment benefit paid in previous year (1 817 kuna). A beneficiary also temporary loses these rights if he establishes work relations (regular employment with salary) for a period not longer than vocational training or professional development. If work relations are established for longer period, than the right ceases.

3.3 *Tax treatment of benefit and interaction with other benefits*

All benefits described in this chapter are not subjected to taxation.

a) Beneficiary cannot simultaneously receive cash allowance paid during vocational training and: unemployment benefit (chapter 2), as well as benefits paid during maternity and parental leave.

b) Beneficiary cannot simultaneously receive cash assistance for persons who closed contract on professional development without conceiving employment and: unemployment benefit (chapter 2) as well as benefits paid during maternity and parental leave.

Beneficiary can combine both of this benefits with: full amount of guaranteed minimum benefit and assistance in settling of housing and heating costs (chapters 4 and 5).

Benefits paid during vocational training and professional development are regarded as income that influences the acknowledgement of the right to child allowance.

3.4 *Benefit duration and waiting periods*

a) Cash allowance during vocational training – benefit is acknowledged till the end of vocational training.

b) Cash assistance for persons who closed contract on professional development without conceiving employment – this benefit is given on monthly basis for the whole period of professional development. This contract can be arranged for:

- period of 12 months for undergraduates, graduates, persons who finished integrated undergraduate or graduate university programme, or undergraduate or graduate specialist masters course
- period of 36 months for persons with craft related vocations and vocations where performing activity is conditioned with membership in professional associations

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable, including disabled*

4. Social assistance

Generally speaking, **guaranteed minimum benefit** (type of social assistance granted in Croatia) can be entitled to people who cannot provide for themselves through their work, rights arising from employment or insurance, property income, or some other type of income, neither with the help of people who are required to support them, or otherwise.

It is considered that a person can provide for himself if revenue for settling his basic needs can be acquired by selling, leasing or renting property that does not serve neither to him nor to the other family members in order to meet their basic needs.

It is also considered that a person is able to provide for himself if he is not properly registered within the relevant employment office.

The condition mentioned in the previous paragraph regarding employment is not applicable to:

- a person missing 5 years of life before obtaining right on an old-age pension
- a child from the age of 15 years while attending the school regularly, or a younger adult until the end of the regular education, and no longer than the age of 29 years
- pregnant woman, a woman that gave birth in period of 6 month after birth, a parent who raises and takes care of a child till it reaches one year of age, twins till they reach three years of age or three or more children till they reach ten years of age, or parent who uses adoption leave,
- person completely incapable for work
- person for whom temporary unemployability was established
- unemployed member of a household without income who provides for a child or adult family member who is incapable to take care of himself, if that kind of care can substitute institutional care
- unemployed member of a household who provides for a child of pre-school age, if the care cannot be provided by other person or in educational institutions

Explanations of terms used in description of benefits in this chapter:

Income (except where is indicated otherwise) - all financial resources achieved at home or abroad on the ground of work, pension, property income or otherwise (for example, income from share in capital, interests from savings etc.) in accordance with regulations of income tax, deduced by amount of paid tax and surtax.

Children – person that hasn't reached 18 years of age.

Household – a family or other type of union in which persons live and settle living costs together, regardless of kinship.

Family – a union that includes marital or extramarital partners, children and other next of kin that live together, earn income or acquire income in some other manner and spend it together. A child who doesn't live with a family because of school or university attending, during this period but not longer than 29 years of age, is also considered as a family member.

Program name in local language	Zajamčena minimalna naknada (Guaranteed minimum benefit)
Minimum age condition for social assistance receipt	No

Legal behavioural requirements	Registration as unemployed	Yes
	Participation in integration measures	Yes
	Active job search	No
	Work requirement	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	All conditions are described in chapter 4.1 (regarding income and property)
	Legal behavioural requirements for adult family members other than the benefit claimant	Generally, if the benefit is granted to a household, then all adult members of a household must fulfil the conditions (registration as unemployed, participation in integration measures), otherwise benefit decreases for the amount that would belong to that person.
Determination of benefit levels		National
Uprating mechanism of the benefit		Basis for calculation of benefit is determined by Government's decision.
Other supplements to basic benefit (per family)		Assistance in settling housing and heating costs (cash or in-kind).
Means-test for social assistance	Earnings disregards	Yes, all such income is described in details in chapter 4.2.2. Income and earnings disregards. It consists of many benefits that are part of social protection system.
	Benefit withdrawal rate with regard to earned income	If a beneficiary becomes employed (after 1 year of receipt of the benefit), in first month of employment, beneficiary still receives the full amount of benefit; in second month it decreases by 25% and in third month by 50%. In fourth month of employment, right to the benefit ceases if amount of average earned income in those three months exceeds the amount of benefit.
	Assets included in means test?	Yes
	Other benefits included in the means test	Cash compensation for the period of unemployment (described in chapter 2), salary or cash compensation during maternity and parental leave, benefit for parent caregiver.
Benefit provision (eligibility (E), generosity (G)) varies with	age	No
	family situation	•single person capable for work – 100% of the base •lone parent - 100%, •adult member of a household - 60%, •child - 40%. •child of a lone parent - 55%.

	over time	No
	other	o single person incapable for work – 115% of the base

4.1 *Conditions for receipt*

Guaranteed minimum benefit is a cash amount intended to secure basic needs of a person or a household that have no means to provide for themselves (in the amount of benefit) and can't acquire them through their work, property income or from persons obliged to support them.

The right to guaranteed minimum benefit **cannot** be granted to a household or a single person that receives monthly income at least in the amount of this benefit, and who:

- owns a house or apartment, beside house or apartment where he resides, that can be sold or rented to secure the means for settling basic needs, as well if the person owns office space that isn't used for registered business activity or if he owns valuable movable property;
- owns a property which can be used or sold without endangering basic needs and thus secure the means in the amount of guaranteed minimum benefit;
- owns a registered personal vehicle, except the vehicle which is used for transportation of a household member - user of a right based on a personal disability, as well for transportation of elderly and feeble persons with moving difficulties, or in a case the welfare centre determines that the vehicle is necessary because of isolated location;
- uses a registered personal vehicle owned by other person or legal entity;
- signed the lifelong support contract or contract for support until death, as recipient of support;
- is capable for work but isn't registered as unemployed person at Croatian Employment Service. **This rule regarding unemployment status doesn't apply to:**
 - a) person who misses five years at the most for acquiring old age pension,
 - b) child who is at least 15 years old while attending school regularly and younger adult until the end of the regular education but not older than 29,
 - c) pregnant woman or woman that gave birth in a period of 6 month after birth; parent who raises and takes care of a child till it reaches one year of age, twins till they reach three years of age or three or more children till they reach ten years of age; parent who uses adoption leave,
 - d) person completely incapable for work
 - e) person for whom temporary unemployability has been established,
 - f) unemployed member of a household without income who provides care for a child or provides care for adult family member incapable to take care of himself, if that kind of care can substitute institutional care,
 - g) unemployed member of a household who provides for a child of pre-school age, if the care cannot be provided by other person or in educational institutions
- can acquire support on other grounds
- is a user of social service of accommodation or organized occupancy

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Croatian government prescribes the financial base upon which the amount of guaranteed minimum benefit is determined. Amount of benefit granted to a household cannot be higher than the gross amount of minimum wage (3 120 kuna).

In 2016, the basis for determining the amount of benefit was equal to 800 kuna.

Guaranteed minimum benefit is calculated as the percentage of the base:

- for a single person incapable for work - 115% of the base (920 kuna),
- for a single person capable for work - 100% of the base (800 kuna),
- Household, for a:
 - lone parent - 100% of base (800 kuna),
 - adult member of a household - 60% of base (480 kuna),
 - child - 40% of base (320 kuna),
 - child of a lone parent – 55% of the base (440 kuna)

With the Act of Amendments of Social Welfare Act that entered into force on 24 September of 2015, amount of guaranteed minimum benefit has been raised for a single person who is incapable for work to 115% of the basis (if a single person is capable for work amount remains 100% of the basis) and for a child of a lone-parent to 55% of the basis.

If a person or a household member receives income, the amount of a guaranteed minimum benefit corresponds to the difference between the prescribed amount of benefit for a person/household without income and average monthly income of a person or a household achieved in a period of 3 months, preceding the month in which the application was initiated in order to achieve the benefit.

Income includes all financial resources which single person or a household member achieves at home or abroad on the basis of work, pension, property income or otherwise (for example, income from share in capital, interests from savings etc.) in accordance with regulations of income tax, reduced by social insurance contributions that represent financial burden of a taxpayer, tax and surtax.

Income doesn't include many receipts which make elements of the social protection system: assistance in settling of housing costs, financial compensation for physical disability, assistance and care supplement, personal disability benefits, child allowance, and alike (described in details under income and earnings disregards).

The amount of the guaranteed minimum benefit for household is increased for the amount of accommodation cost of the household member in boarding school during school time.

Also, amount of benefit for household is reduced for a share of household member who is capable for work but is not registered as unemployed at the employment office (except for categories of beneficiaries described under point 7 in conditions for receipt) and a share of household member who closed lifelong support contract or contract for support until death as recipient of support.

4.2.1.1 Irregular additional payments

4.2.1.2 *Obligations of family members*

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

If a person or a household member receives income, the amount of a guaranteed minimum benefit corresponds to the difference between the prescribed amount of benefit for a person/ household without income and average monthly income of a person or a household achieved in a period of 3 months, preceding the month in which the application was initiated in order to achieve the benefit.

Income includes all financial resources which single person or a household member achieves at home or abroad on the basis of work, pension, property income or otherwise (for example, income from share in capital, interests from savings etc.) in accordance with regulations of income tax, reduced by amount of paid tax and surtax.

Income that can influence eligibility to guaranteed minimum benefit doesn't include many benefits which make elements of the social protection system: assistance in settling of housing and heating costs; financial compensation for physical impairment; assistance and care supplement and personal disability benefit based on Social Welfare Act and other special regulations; orthopaedic addition; child allowance; aid granted by state for agriculture, rural development, fishing and aquaculture; scholarships for pupils and students during regular schooling and studying but not longer than student's 29 years of age; compensation for accommodation in a foster family; means for covering losses that came as a consequence of natural disasters; temporary child support; child support (alimony) but to the amount of temporary child support; cash allowance and compensation of travel expenses during professional development without conceiving employment and during vocational training; various cash benefits based on Act on the Rights of Croatian Defenders of the Homeland War and Members of their Families and Act on the Protection of Military Personnel and Civilians Disabled during the War or Peace-time period and their family members; support for fittings of a new-born baby; supports for a new-born baby granted by local/regional self-government unit and few other types of income that are not connected to social protection.

Assistances and fees provided by local and regional self-government units are not included in the income that influence the acknowledgment of guaranteed minimum benefit, if they are lower than guaranteed minimum benefit (except for supports for a new-born baby which is excluded from income regardless of the amount).

If a person or a household member, who is capable for work or partially capable, and is a beneficiary of the guaranteed minimum benefit for at least 1 year, becomes employed, then in the first 3 months of his employment this right does not cease and in the first month benefit is not decreased for earned income. In the second month the pre-employment amount of the benefit decreases by 25%, and in the third month by 50%. The right ceases if this person or a household member is employed longer than three months and his average income is higher than the amount of guaranteed minimum benefit.

Income taken in regard will also be reduced for the amount of support (according to regulations arranging family relations) that beneficiary pays to a person who doesn't live in a same household with him.

Income disregards for benefits (supplements) granted to beneficiaries of the guaranteed minimum benefit (assistance in settling housing and heating costs) are the same as for that benefit (described above).

Income disregards for other benefits were described before in a case of all benefits for which disregards are specified in Social welfare act.

4.3 Tax treatment of benefit and interaction with other benefits

Guaranteed minimum benefit is not subjected to taxation.

Full amount of guaranteed minimum benefit can be combined with: assistance in settling of housing and heating costs; temporary child support; benefit for users with difficulties in settling energy products expenditures; financial compensation for physical impairment; assistance and care supplement and personal disability benefit based on Social Welfare Act and other special regulations; orthopaedic addition; child allowance; allowance for accommodation in a foster family; cash allowance and compensation of travel expenses during professional development without conceiving employment and during vocational training, as well as with other benefits described in 4.2.2. (income disregards).

Regarding other benefits that are not mentioned in “income disregards”, beneficiaries of those benefits are entitled to guaranteed minimum benefit only if those benefits along with other eventual income are in an amount lower than guaranteed minimum benefit, and in that case a beneficiary receives a difference between full amount of guaranteed minimum benefit and amount of other benefit.

4.4 Benefit duration and waiting periods

Period for which the guaranteed minimum benefit is acknowledged is not limited for a beneficiary that fulfils all conditions prescribed by the Social Welfare Act.

If a beneficiary of the guaranteed minimum benefit (single person or a household member), who is capable or partially capable for work, refuses a job offer, training, retraining or additional training, or if he cancels the job contract in his own will, then he loses the right on benefit, or (in a case that the benefit is granted to a household, benefit is decreased for a share of that member). In such cases, person doesn't have the right to submit new request for guaranteed minimum benefit, or for the increase of the benefit for a household, in the period of six months from a month when the right ceased or has decreased. (These conditions are applicable for all beneficiaries except for the categories determined as exceptions and described in 4.1 under point 6).

Person or a household member, who is capable or partially capable for work, loses a right to the guaranteed minimum benefit if he refuses to participate in the work for common good without compensation, on a summon from a local or regional self-government unit. In such case, person doesn't have the right to submit new request for the guaranteed minimum benefit, or for the increase of the benefit for a household in the period of six months from a month when the right ceased or has decreased. (These conditions are applicable for all beneficiaries except for the categories determined as exceptions and described in 4.1 under point 6).

The right to guaranteed minimum benefit ceases if by monitoring of financial or other social conditions of beneficiary, it is determined that these conditions are considerably more favorable than those that can be secured with benefit. This right also ceases if an individual or a household member is: hospitalized, in custody or in investigative imprisonment, serving a prison sentence or staying abroad for a continuous period of more than 2 months. Also, the right to guaranteed minimum benefit ceases for an individual or a member of a household each month in which they stay more than 15 days abroad or for a person or a household member who, during the process of acquiring this right, gave false or incomplete information

about income and property or he didn't make the insight of income or property possible for a social welfare center. In case of giving false or incomplete information of income or refusing an insight to social welfare center, person cannot apply for a benefit in a period of six months from the point of losing this right.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

Child who is at least 15 years old while attending the school regularly and younger adult till the end of regular education but not older than 29, can receive the guaranteed minimum benefit even if he is not registered as unemployed person at Croatian employment service (if he fulfils other conditions).

4.5.2 *Older workers*

Person who lacks up to five years for acquiring old age pension can receive guaranteed minimum benefit even if he is not registered as unemployed person at Croatian employment service (if he fulfils other conditions).

4.5.3 *Others if applicable, including disabled*

Guaranteed minimum benefit

Following categories described below can also receive the guaranteed minimum benefit even if they are not registered as unemployed persons at Croatian employment service:

pregnant woman or woman that gave birth in a period of 6 month after birth; parent who raises and takes care of a child till it reaches one year of age, twins till they reach three years of age or three or more children till they reach ten years of age; parent who uses adoption leave; person completely incapable for work; person for whom temporary unemployability has been established; unemployed member of a household without income who provides care for a child or provides care for adult family member incapable to take care of himself, if that kind of care can substitute institutional care; unemployed member of a household who provides for a child of pre-school age, if the care cannot be provided by other person or in educational institutions (if they fulfil other conditions).

Lone parent receives a higher amount of benefit. After Amendments of Social welfare Act in September of 2015, child of a lone parent receives higher benefit than a child living with both parents. Also, single person incapable for work receives higher benefit than the one capable for work.

5. Housing benefits for rented accommodation

Regular housing benefits	Program name in local language		Naknada za troškove stanovanja (Assistance in settling of housing costs)
	Entitlement depends on	Household type/size	No
		Income	Yes - benefit is granted to beneficiaries of subsistence allowance (which is dependent on income)
		Dwelling size	No
		Geographic location	No
		Actual rental cost	No
	Description of regular housing benefit		Accommodation costs are compensated up to 50% of the monthly amount of guaranteed minimum benefit (subsistence allowance). Amount of benefit depends on financial abilities of local self-government units regarding their budgets; higher coverage in case of families that risk separation upon assessment of the social welfare centre.
	Uprating mechanism of the benefit		Basis for subsistence allowance is determined by Government's decision each year.
Housing related support through other benefits			- Heating supplement (cash or in-kind) for subsistence allowance recipients who use wood for heating. - Benefit for covering the electricity expenditures granted to beneficiaries of subsistence allowance or personal disability benefit (in-kind).

1. Assistance in settling of housing costs

Housing costs encompass rent, utility costs, electricity, gas, heating, water supply, drainage and other housing costs, in accordance with special regulations.

Right to assistance in settling of housing costs is granted to a person or a household who are beneficiaries of the guaranteed minimum benefit (chapter 4). Term **household** refers to a family or other type of union in which persons live and settle living costs together, regardless of kinship.

Assistance in settling of housing costs can be granted in cash directly to a beneficiary or it can be provided in a manner that a competent authority pays the receipt directly to the authorized legal or natural person who provided the service.

2. Assistance in settling of heating costs

A single person or a household, beneficiaries of the guaranteed minimum benefit, if they use wood for heating can be, once a year, provided by 3 m³ of wood or may be granted a cash amount to cover that cost. This right is financed from the budgets of regional self-government units who can determine the amount of cost that can be covered in cash instead of supplying wood.

3. Benefit for users with difficulties in settling energy products expenditures

With Act of Amendments of Social Welfare Act, that entered into force in September of 2015, this new benefit has been introduced in Social Welfare system. A beneficiary acquires the right for co-financing of electricity costs for his household.

5.1 Conditions for receipt

1. Assistance in settling of housing costs

Right of assistance in settling of housing costs is provided to a person or a household who is a beneficiary of a guaranteed minimum benefit. So, conditions for the benefit to be acknowledged are the same as of guaranteed minimum benefit, which are described in chapter 4 - Social assistance (4.1 Conditions for receipt).

2. Assistance in settling of heating costs

Conditions for receipt are the same as for guaranteed minimum benefit (described in chapter 4).

3. Benefit for users with difficulties in settling energy products expenditures

Benefit is granted to a:

- beneficiary of guaranteed minimum benefit,
- member of a household, who is beneficiary of guaranteed minimum benefit,
- beneficiary of personal disability benefit,
- person living in a household with beneficiary of personal disability benefit.

Beneficiary of personal disability benefit, who is also a beneficiary of guaranteed minimum benefit can acquire the benefit just on the grounds of one of this conditions.

If in a same household lives a beneficiary of guaranteed minimum benefit and beneficiary of personal disability benefit, a household can acquire this benefit just on the grounds of one of this conditions.

Hence, this right derives from the right to guaranteed minimum benefit or the right to personal disability benefit. Conditions for receipt of guaranteed minimum benefit are described in chapter 4. Personal disability benefit is a financial support intended for persons with severe disability or other serious long-term changes in health condition, in order to meet their basic needs for inclusion in the daily life of the community.

Personal disability benefit cannot be entitled to:

- person who earns income (net value) in an amount above 1 250 kuna;
- person who exercise a right for disability benefit on some other grounds;
- person who owns a house or apartment, beside house or apartment where he resides, that can be alienated or rented;
- person who owns office space that isn't used for registered business activity;

- child or adult who exercises the accommodation service or service of organized housing in accordance with Social welfare act or other regulations.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

1. Assistance in settling of housing costs

This right is financed and implemented by the local self-government unit, on monthly basis. The amount of the benefits is up to half of the maximum amount of guaranteed minimum benefit (granted to a household or to a single person). This right can be approved to full amount of the guaranteed minimum benefit if a social welfare centre evaluates that this is the only way to avoid the separation of children from their parents. Amount of benefit also depends on financial abilities of local self-government units regarding their budgets. Assistance in settling of housing costs can be granted in cash directly to the beneficiary or it can be provided in a manner that a competent authority wholly or partially pays the income directly to the authorized legal or natural person who provided the service.

2. Assistance in settling of heating costs

Beneficiaries of the guaranteed minimum benefit, if they use wood for heating can be, once a year, provided by 3 m³ of wood or may be granted a cash amount to cover that cost. This right is financed from the budgets of regional self-government units who can determine the amount of cost that can be covered in cash instead of supplying wood.

3. Benefit for users with difficulties in settling energy products expenditures

Maximum amount of benefit is equal to 200 kuna in one month. This is not a cash benefit, and beneficiary receives a voucher of certain value in cash that he can use to pay electricity bills.

5.2.2 Income and earnings disregards

1. Assistance in settling of housing costs

Right of assistance in settling of housing costs is provided to a person or a household who is a beneficiary of a guaranteed minimum benefit. So, Income and earnings disregards are the same as for that benefit, already described in chapter 4.

2. Assistance in settling of heating costs

Income and earnings disregards are the same as for guaranteed minimum benefit (described in chapter 4).

3. Benefit for users with difficulties in settling energy products expenditures

For beneficiaries of guaranteed minimum benefit who are also entitled to this right, please consult chapter 4 for detailed description of means test.

This right can also be granted to beneficiaries of personal disability benefit. Income of influence for granting the personal disability benefit doesn't include guaranteed minimum benefit and assistance in

settling of housing costs, pensions up to the amount of the minimum pension for 40 years of pension insurance time, orthopaedic addition, child support that a child acquired on the ground of regulations arranging family relations, scholarship for pupils and students during regular schooling or studying and child allowance. All other types of income (net value) have to be below 1 250 kuna in order for personal disability benefit (full or partial amount) to be acknowledged.

5.2.3 *Costs eligible for housing benefits*

1. Assistance in settling of housing costs

Housing costs encompass rent, utility costs, electricity, gas, heating, water supply, drainage and other housing costs, in accordance with special regulations.

2. Assistance in settling of heating costs

Benefit covers costs of wood used for heating.

3. Benefit for users with difficulties in settling energy products expenditures

Benefit covers the electricity expenditures.

5.3 ***Tax treatment of benefit and interaction with other benefits***

All benefits described in this chapter are not taxable and all can be granted with full amount of guaranteed minimum benefit.

1. Assistance in settling of housing costs

Assistance in settling of housing costs is acknowledged to the beneficiaries of guaranteed minimum benefit, so it can be combined with same benefits as guaranteed minimum benefit (described in chapter 4).

2. Assistance in settling of heating costs

Assistance in settling of heating costs is acknowledged to the beneficiaries of guaranteed minimum benefit, so it can be combined with same benefits as guaranteed minimum benefit (described in chapter 4).

3. Benefit for users with difficulties in settling energy products expenditures

- a) For beneficiaries of guaranteed minimum benefit who are also entitled to this right, please consult chapter 4 for detailed description of interaction with other benefits.
- b) Beneficiaries of personal disability benefit who are also entitled to this right can combine these two benefits with guaranteed minimum benefit, assistance in settling of housing costs, child allowance, pensions up to the amount of the minimum pension for 40 years of pension insurance time, orthopaedic addition, child support that a child acquired on the ground of regulations arranging family relations, scholarship for pupils and students during regular schooling or studying. Other income is included in means test for the approval of personal disability benefit.

5.4 Treatment of particular groups

5.4.1 *Young persons*

5.4.2 *Older workers*

Assistance in settling of housing and heating costs

Person who misses up to five years for acquiring right for old age pension has a right for guaranteed minimum benefit and subsequently assistance in settling of housing and heating costs, even if he is not registered as unemployed person at Croatian employment service (if he fulfils other conditions for guaranteed minimum benefit).

5.4.3 *Others if applicable, including disabled*

6. Family benefits

Program name (local name in parentheses if available)			Doplatak za djecu (Child allowance)	Dodatak za dijete bez jednog roditelja (Lone parent supplement to child allowance)
Type of benefit			Targeted	Targeted
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		14 (18)	14 (18)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		Yes, Income per household member	Yes, Income per household member
Uprating mechanism of the benefit			No	No
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0	0
		Number of children	++, +++ from third child on	++
	Earnings disregard		Yes	Yes
	Withdrawal rate		Benefit decreases in steps with income brackets, fully withdrawn at HRK 1663 (50% of budgetary basis) per family member	Supplement only given if basic benefit attributed, see basic benefit withdrawal rate
	Assets part of means test?		No	No

6.1 Conditions for receipt*Child allowance*

Child allowance is a cash benefit used by a parent or other person designated in the Act on Child Allowance, for support and upbringing of a child. It can be acquired by a parent, adoptive parent, guardian, stepfather, stepmother, grandmother, grandfather, as well as a person to whom child has been entrusted on care and upbringing by decision of the authorised social welfare body. Child allowance can be provided also for a child who has reached 18 years of age, but lost both parents, if he is attending regular education.

The right to child allowance is acquired in accordance to the number of children, the amount of the total income of all household members, as well as other conditions foreseen by the Act on Child Allowance. It is granted for all children for whom beneficiary is providing support, including children born in marriage, stepchildren, adopted children, grandchildren for whom grandparents provide support and children who lost both parents.

Beneficiary can be a Croatian citizen residing in Croatia for at least three years before applying for the benefit and foreign citizen with approved permanent stay in Croatia for at least three years before applying for the benefit. Beneficiaries can also be foreign citizens with approved asylum in Croatia or approved subsidiary protection and members of their families, no matter for how long have they been situated in Croatia.

Child allowance is given until child reaches 15th year of age, or until the end of the school year in which child turned 15. This benefit can be provided after mentioned period if the reason for which a child is attending elementary school after he turned 15 is later school enrolment in the first grade or failure to finish a class due to health reasons or longer period of illness.

Child allowance is given for a child in high school until the end of such schooling, but no longer than the end of the school year in which child turns 19 years of age. If a child has health problems, then he is entitled to the child allowance even after turning 19 years of age, until the end of regular education in high school, but no longer than the moment when child reaches 21 years of age.

In the case of a child who, after recovering from illness, continues to attend school, but because of a longer absence caused by illness cannot finish school regularly, right for the benefit is extended for the period of time during which a child didn't attend school due to illness, but no longer than the moment when child reaches 21 years of age.

For a child with more serious or severe disability that occurred before a child reached 18 years of age or during regular schooling is entitled to the allowance regardless of family's income for a period that is no longer limited to 27 years of age, but a child receives the benefit as long as the disability exists.

Child allowance also belongs to a child who, due to illness doesn't attend high school regularly.

This benefit is not granted during period in which a permanent accommodation in establishment according to special regulations is secured for a child at expense of the state budget or budget of a local/regional self-government unit. It is also not granted for a period of time when child is attending the school abroad, if it's not determined otherwise on the grounds of international contract or regulations of European Union of coordination of social security system. If a beneficiary (child) gets married, right for the benefit ceases.

Eligibility for this benefit and the amount of the child allowance is determined according to the monthly amount of total achieved income of a household per household member, generated in the year previous to one when application for the benefit has been submitted. Although child allowance is given depending on the income generated in previous year, beneficiaries can report any changes, in current year, regarding income or other circumstances that can influence the acknowledgment of this benefit and if according to changed circumstances, benefit can be granted, person will start receiving it from the first day of the next month.

The term **household** refers to community in the sense of living together, earning and spending the total earned income of all family members regardless of the type of kinship.

In accordance with the Child Allowance Act, the total household income is the sum of taxable incomes which fall under the regulations on income tax and other receipts which are defined by Child Allowance Act and achieved by the beneficiary and members of his household. Other receipts include pensions achieved at home and abroad, salaries granted by employer for the work abroad, benefits granted due to the child care, sick leave benefit, unemployment benefits and compensation for professional rehabilitation. The term **total income of a household** (which is important for determination of eligibility for child allowance) refers to the sum of taxable incomes and other receipts **reduced** for compulsory contributions from receipts, tax and surtax.

A beneficiary acquires the right to the child allowance under the following conditions: total income of a household per household member (in division of total income all members of a household are taken in regard) per month generated in the previous year does not exceed 50% of the budgetary basis (1 663 kuna) and that beneficiary lives with the child in the same household.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Child allowance

In case that the total income per household member does not exceed 16.33% of the budgetary basis (543 kuna) per month, the beneficiary is granted the child allowance in the amount of 9% of the budgetary basis (300 kuna) per child. In case that the total income per beneficiary's household member ranges between 16.34% and 33.66% of the budgetary basis (between 543 kuna and 1 119 kuna) per month, the beneficiary is granted the child allowance in the amount of 7.5% of the budgetary basis (250 kuna) per child. In case that the total income per beneficiary's household member ranges between 33.67% and 50% (between 1 119 kuna and 1 663 kuna) of the budgetary basis per month, the beneficiary is granted the child allowance in the amount of 6% of the budget basis (200 kuna) per child.

Budgetary basis for 2016 amounts 3326 kuna (same as in 2015).

The amount of the child allowance increases by 25% for the child without both parents, as well as if both parents are unknown or of unknown residence, if they are completely and permanently incapable to live and work independently, or if they are deprived of the business capability. The amount of the allowance increases by 15% for the child without one of the parents, as well as if one of the parents is unknown or of unknown residence, completely and permanently incapable to live and work independently, or deprived of the business capability.

For a child with health impairments, child allowance also increases by 25%.

For a child with more serious or severe disability, the child allowance is determined in the amount of 25% of the budgetary basis (831 kuna), regardless of the total monthly income per household member (from September of 2015, child that became disabled before it reached 18 years of age or during regular schooling is entitled to the allowance in the amount of 25% of the budgetary basis (831 kuna) for a period that is no longer limited to 27 years of age, but receives the benefit as long as a disability exists).

Alongside determined amount of the child allowances, beneficiary (who acquired basic benefit) is provided with a supplement in the amount of 500 kuna for the third and fourth child.

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

Child allowance

In accordance with the Child Allowance Act, the total household income that influences the benefit acknowledgment is the sum of:

- a) taxable incomes which fall under the regulations on income tax and
- b) other receipts which are defined by the Act and achieved by a beneficiary and members of his household. Other receipts include pensions achieved at home and abroad, salaries granted by employer for the work performed abroad, benefits granted for child care (maternity and parental support, foster parent benefit and alike...), sick leave benefit, unemployment compensations and compensation for professional rehabilitation.

The term **total income per household member** (which is important for the definition of income for purpose of determining eligibility for child allowance) refers to the sum of taxable incomes and other receipts which are defined under this Act reduced for compulsory contributions, tax and surtax.

Therefore, other social benefits, that do not come under the term of other receipts (point b) according to the Child Allowance Act, are of no influence on granting the child allowance.

6.3 *Tax treatment of benefit and interaction with other benefits*

Child allowance

Child allowance is not subjected to taxation.

Social Welfare Act prescribes that child allowance can be combined with the full amount of: guaranteed minimum benefit and consequently with assistance in settling of housing and heating costs as well as with personal disability benefit.

Child Allowance Act doesn't prescribe that the benefit cannot be granted along with other benefits, but there are some social supports included in income than can influence granting the child allowance: benefits received on the grounds of a child care (maternity and parental supports, foster parent benefit, and alike..), unemployment benefits, sick leave benefit, compensation received during professional rehabilitation, and all types of pensions.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable, including disabled*

Child allowance

Children with severe disability receive higher amount of allowance, regardless of a household income and in a longer period.

Children of Croatian Homeland war Defenders, who are casualties of war, imprisoned or missing receive child allowance in a higher amount.

7. Childcare for pre-school children

According to the Preschool Upbringing and Education Act, preschool education includes programs of education, health care, nutrition and social welfare that are provided in kindergartens. Kindergartens are public institutions where the pre-school education is held as a public service.

Kindergartens may be established by: Republic of Croatia, local and regional self-government units, religious organizations, other legal and natural persons.

Pre-school education is organized and conducted for children from the age of six months up to school age. Generally, children start attending elementary school in a calendar year when they have reached six years of age before 1. April.

Kindergartens conduct:

- regular programs of care, upbringing, education, health care, nutrition and social welfare, which are adapted to the developmental needs of children, their abilities and skills,
- programs for children with disabilities,
- programs for gifted children,
- programs in a language and alphabet of the national minorities,
- pre-school programs (compulsory, one year before attending school),
- programs of foreign language learning and other programs of artistic, cultural, religious and sport contents.

Preschool programme (it shouldn't be mixed with the term - preschool education) is compulsory for all children in a period of one year before attending primary school. For children who attend kindergarten, preschool programme is already integrated in regular programme of preschool educations of kindergarten, other children have to attend preschool program in nearest kindergarten, or primary school closest to their place of residence, that conduct preschool program for children who don't attend the kindergarten. Preschool programme is state co-financed, and it is free of charge for parents.

In school year 2015/2016, there were 1432 kindergartens and 170 other legal entities that implement preschool education programmes in the Republic of Croatia. There was 1 kindergarten founded by state, 1 078 by local self-government units, 301 private kindergartens and 52 of those founded by religion communities¹.

The total number of children in all kindergartens and other legal entities that implement preschool education amounted to 134 573. In kindergartens founded by the state there were 111 children (0.08%), in those founded by local self-government units 113 886 (84.63%), in private kindergartens 17 304 (12.86%), and in those founded by religion communities 3 272 (2.43%)².

Children involvement according to the programs:

- in regular daily programmes there are 119 365 children included
- in pre-school programmes there are 12 856 children (this data is for 2014/2015 school year)
- in the shorter programmes there are 2 352 children included³

¹ CBS First release 8.1.8.: *Kindergartens and other legal entities implementing preschool education programmes, beginning of 2015/2016 pedagogic year*. Published 3th June of 2016. http://www.dzs.hr/Hrv_Eng/publication/2016/08-01-08_01_2016.htm

² Ibid

³ Ibid

In the City of Zagreb preschool institutions provide following programs for preschool children:

- regular programs of education, care, upbringing, health care, nutrition and social welfare provided to the children of preschool age, adjusted with work time of parents and needs of a child,
- compulsory preschool program conducted in a period of one year before child starts attending primary school,
- Special programs for children with developmental difficulties, children belonging to national minorities, alternative programs, programs for studying foreign language ~~from an early age~~, programs including health care, sport, dancing, musical education, arts, theatre, informatics, ecology, religion and other programs adjusted to special interests and needs of children,
- Other programs of preschool education adjusted to children's needs and parent's requests

7.1 Out-of-pocket childcare fees paid by parents

In accordance with the Article 48 of the Preschool Education Act, a founder of a kindergarten is obliged to provide funds for the establishment and operation of a kindergarten. Founder provides these funds by selling services on the market, or from other regulated sources.

Kindergartens founded by the units of local and regional self-government, are charging their services from the parents-customers, in accordance with the standards established by the representative body of that unit, except for the compulsory pre-school program (for children in a period of one year before attending primary school), that is free of charge for parents.

Therefore, most kindergartens depend on the units of local or regional self-government, whether, and to what extent, it will co-finance the kindergarten costs, and thereby reduce the cost for parents. Likewise, it depends on the local or regional self-government units whether the co-financing (and its amount) will be based on the previous means test, as well as whether there will be a category of users who are excluded from paying the participation in costs.

Article 50 of the Preschool Education Act prescribes that a part of funds needed for the financing of public needs in the field of preschool education are secured in the state budget. These funds are used for financing following pre-school education programs:

- for children with developmental difficulties and gifted children,
- for the children of Croatian citizens living abroad,
- for children belonging to national minorities,
- Pre-school program (as it is mandatory, it is state co-financed).

In the City of Zagreb, contribution of parents in a price of a preschool program is determined according to the type of program, duration of program and financial status of a family.

Contributions of parents in a price of regular kindergartens programs depend on an average monthly income per member of a household, achieved in previous year:

INCOME CENSUS (CITY OF ZAGREB)	MONTHLY AMOUNT OF CONTRIBUTIONS OF PARENTS IN A PRICE OF REGULAR PROGRAMME
---------------------------------------	---

	10 HOUR	HALF-DAY
1. average monthly income per member of a household (achieved in previous year) over 4.501,00 kn	600,00 kn	390,00 kn
2. average monthly income per member of a household (achieved in previous year) over 3.501,00 up to 4.500,00 kn	450,00 kn	292,50 kn
3. average monthly income per member of a household (achieved in previous year) over 2.501,00 up to 3.500,00 kn	300,00 kn	195,00 kn
4. average monthly income per member of a household (achieved in previous year) up to 2.500,00 kn	150,00 kn	97,50 kn

According to the regulation - Program of Public Needs in Preschool Upbringing, Education and Care for Children of Early and Preschool Age in the City of Zagreb, the economic price of regular kindergarten program, anticipated on the ground of average costs of program, was set for 2016 in the amount of 1 900 kuna for the 10 hour program and 1 300 kuna for the half day program.

Additional reliefs in paying the costs of regular programs in kindergartens and other legal entities founded by the city of Zagreb are acknowledged for a:

- child of a parent with 100% or 90% level of disability - entirely relieved of paying the charge of program,
- child of a parent with 80% to 60% level of disability – parents pay 50% of the contribution described in the table above,
- child of a parent with 50% level of disability or less – parents pay 75% of the contribution described in table above,
- in a case that two children of the same family attend the regular program, parents pay the whole contribution for one child and 75% of the contribution for the other child,
- for families with three or more children that are attending regular program, parents are entirely relieved of paying for the third and every child that follows,
- For a child of a lone parent, charge is 75% of the price of contribution,
- For a child whose parents receive constant cash assistance within the social welfare system, parents pay 20% of the price.

Parents can use just one relief that is the most favorable for them.

7.2 Child-care benefits

7.2.1 Conditions for receipt

Each local unit prescribes conditions related to admission in kindergartens separately. For instance, in the City of Zagreb, contribution of parents in service is proportional to the income per family member.

Preschool program is compulsory for all children who will attend primary school in a year or less, and it is completely financed by the state.

City of Zagreb has brought a regulation about gaining advantage for the admission of children in kindergartens, founded by the city. This advantage is acknowledged to a: child with developmental difficulties, child living in a very difficult social and health conditions, child whose parents are Homeland War invalids, child whose both parents are employed, child living with just one employed parent, child of an employed lone parent, child living in a foster family, child who lost both parents, child without proper

parental care, child from a family with three or more children under age, child for a period of one year or less from attending the primary school, child of a parents who are beneficiaries of child allowance. Children with developmental difficulties and children living in a very difficult social and health conditions gain more advantage for admission in kindergartens than other categories.

Main condition is that child's place of residence is in Zagreb, but children from other towns or municipals can also attend kindergartens in Zagreb if there is free room. Parents of children that don't have a place of residence in Zagreb have to pay full price of preschool education programs, with exception if the local self-government units from place of their residence cover part of the costs, and for foreign citizens if they are equaled to citizens of Zagreb according to principle of mutuality.

7.2.2 *Calculation of benefit amount*

Financing of kindergartens from state and other entities is provided in the form of services so benefit amount would be a part of the price of service that parents don't have to settle. Also, this service is provided on the local level and each local unit prescribes conditions for financing kindergartens separately. In the city of Zagreb, benefit would be equal to a difference between the economic price of a kindergarten program and a participation in the price that parents have to settle (amounts are presented in section 7.1.).

7.2.2.2 *Income and earnings disregards*

Income and earnings disregards are prescribed separately by each local self-government unit.

In order to calculate the amount of parent's contribution in the price of preschool education program in the **City of Zagreb**, income taken in regard is: salary, compensation of salary and other income of every employed or self-employed member of the household, pension, compensation for sick leave, maternity and parental supports, unemployment benefit, compensation paid according to a temporary service contract and other taxable incomes according to the Income Tax Act.

Income is reduced for: tax/surtax, instalments for housing loan (if the loan is taken for solving housing status of a family), amount that family pays for freely agreed rent in order to solve the housing status.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Benefit is not taxable.

City of Zagreb

Social supports that are included in observed income and so reduce the amount of benefit are: compensation for sick leave, maternity and parental supports, unemployment benefit and pensions.

7.2.4 *Treatment of particular groups, including disabled*

Preschool Education Act prescribes that certain advantage for admission in kindergartens owned by the State or local/regional self-government have children: of parents that are Homeland war casualties or Homeland war invalids, belonging to a family with three or more children, of employed parents, with developmental difficulties, of lone parents or accommodated in a foster family, that will attend primary school in one year or less, of parents that receive child allowance.

City of Zagreb

Advantage for admission in kindergarten is acknowledged to a: child with developmental difficulties, child living in very difficult social and health conditions, child whose parents are Homeland War invalids, child whose both parents are employed, child living with just one employed parent, child of an employed lone parent, child living in a foster family, child who lost both parents, child without proper parental care, child from a family with three or more children under age, child for a period of one year or less from attending the primary school, child of a parents who are beneficiaries of child allowance.

Children with developmental difficulties and children living in a very difficult social and health conditions gain more advantage for admission in kindergartens than other categories.

Additional reliefs in paying the costs of regular programs in kindergartens founded by the city of Zagreb are acknowledged for a: child of a parent suffering from disability, child of a lone parent, child from a family with two or more children, child whose parents are recipients of social welfare assistance.

8. Employment-conditional benefits

There are no employment-conditional benefits in Croatia

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable, including disabled*

9. Lone-parent benefits

1. Temporary child support

Although it is presented in this chapter, temporary child support is not a benefit specifically targeted to lone parents, but the main intention is providing support to a child whose parents had separated. This right is acknowledged to a child younger than 18 years, whose parent (the one that doesn't live with the child) is not fulfilling his commitment to support the child with full or partial amount of alimony.

State will ask reimbursement for the whole amount of temporary child support paid to a child from the person obligated to support the child.

2. Rights to increased amounts of guaranteed minimum benefit and child allowance

Regarding other benefits, there isn't a particular lone-parent benefit within Croatian social welfare system, but rather some advantages for a lone parent to acquire other benefits or to acquire higher amount of a certain benefit.

Chapter 4 - For a family who is a beneficiary of the guaranteed minimum benefit, lone-parent acquires the amount of 100% of the basis (800 kuna) and a child of a lone parent acquires 55% of the basis (440 kuna).

Chapter 6 – A lone-parent, who has acquired the right to child allowance under conditions described in chapter 6, receives the allowance that is 15% higher than the basic child allowance.

9.1 Conditions for receipt

1. Temporary child support

This right is acknowledged to a child younger than 18 years, whose parent (the one that doesn't live with the child) is not fulfilling his commitment to support the child with full or partial amount of alimony, continuously for at least three months from the beginning of distraint proceedings that is set in motion so that a child could receive the amount of alimony. Under partial amount of alimony, it is considered an amount equal or higher than this benefit.

2. Rights to increased amounts of guaranteed minimum benefit and child allowance

Beneficiary has to satisfy conditions for acquiring basic right (guaranteed minimum benefit or child allowance) in order to be eligible to lone parent supplement.

Benefit duration, amounts and other conditions for acquiring benefits presented in this chapter are described in details in chapters 4 and 6.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

1. Temporary child support

Amount of benefit is equal to 50% of the prescribed minimum amount of alimony:

- For a child younger than 7 years of age – 485,43 kuna (50% of 970,87 kuna (17% of average net salary)),

- For a child older than 7 but younger than 13 years of age – 571,10 kuna (50% of 1 142,20 kuna (20% of average net salary)),
- For a child older than 13 but younger than 18 years of age – 628,21 kuna (50% of 1 256,42 kuna (22% of average net salary)).

But, it cannot be higher than the amount of alimony determined by distraint document.

If a parent who is obliged to support a child pays alimony in an amount lower than this benefit, than benefit is equal to difference between the full amount of benefit and an amount that parent pays.

2. Rights to increased amounts of guaranteed minimum benefit and child allowance

Benefit duration, amounts and other conditions for acquiring benefits presented in this chapter are described in details in chapters 4 and 6.

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

1. Temporary child support

Benefit can be granted regardless of child's financial position.

2. Rights to increased amounts of guaranteed minimum benefit and child allowance

Benefit duration, amounts and other conditions for acquiring benefits presented in this chapter are described in details in chapters 4 and 6.

9.3 Tax treatment of benefit and interaction with other benefits

Benefits presented in this chapter are not subjected to taxation.

1. Temporary child support

Temporary child support can be combined with the full amount of guaranteed minimum benefit and assistance in settling of housing and heating costs.

2. Rights to increased amounts of guaranteed minimum benefit and child allowance

Interaction with other benefits is described in chapters 4 and 6.

9.4 *Benefit duration*

1. Temporary child support

Child is entitled to receive this benefit as long as a parent who is obliged to support him doesn't start paying alimony at least in the amount of this benefit, but maximum period for receiving temporary support is 3 years. If a child has been receiving this benefit for a period less than 3 years, and a need for temporary child support has been determined again for the same child (because a parent has stopped paying alimony in an amount of this benefit at least), then the condition that parent wasn't paying alimony for at least three months doesn't have to be fulfilled and child can receive the benefit at once.

2. Rights to increased amounts of guaranteed minimum benefit and child allowance

Benefit duration, amounts and other conditions for acquiring benefits presented in this chapter are described in details in chapters 4 and 6.

9.5 *Treatment of particular group*

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable, including disabled

10. Tax system

10.1 Income tax

Majority of social security benefits in Croatia are not taxed (either being left outside the definition of income, or falling into this definition, but treated as non-taxable). Exemptions are compensation of salary during sick leave paid by the employer for the first 43 days of the sick leave and pensions above certain amount. They are treated as a financial receipt from the dependent labour and form a part of income tax base.

Generally, income subjected to taxation can derive from:

- employment,
- self-employment,
- property and property rights,
- investment,
- insurance,
- other income (according to definitions described in the Income Tax Act).

Income derived from employment that can be subjected to taxation is equal to the difference between receipts and expenditures of a tax payer that are prescribed by the Income Tax Act. Tax base for the income derived from employment is determined in the manner that tax payer's expenditures and tax deduction (allowance) are deducted from receipts. Income Tax Act prescribes that contributions for compulsory pension insurance are the only item that are recognized as an expenditure for the income that derived from employment (pension insurance contributions for I. and II. pillar pensions are equal to 20% (15% + 5%) of the gross salary).

Receipts based on employment that are subjected to taxation are:

- salary that employer pays to his employees for the momentary work, work done in previous periods based on a previous work relation and for the work in a future period based on the momentary work relation,
- compensations, supports, awards and other receipts that employer pays or gives to his workers above certain prescribed amount,
- salary paid to employee by some other person instead of employer,
- insurance premiums that employers pay for their employees on the basis of life insurance; additional, supplementary and private health insurance; voluntary pension insurance above prescribed amount and insurance of their property,
- all other receipts that employer pays or gives to his employees for performed work based on a job contract or other regulation that arranges work relations,
- entrepreneur's salary that is treated as expenditure when determining corporate income tax,
- receipts (salaries) of natural persons working in resident companies in the Republic of Croatia on behest from foreign employer,
- receipts (salaries) belonging to members of representative and executive bodies of government and local/regional self-government units,
- compensation of salary for persons providing assistance and care to Croatian military war invalids from the Homeland war, with the level of disability of the I. degree,
- pensions acquired on the basis of previous payments of pension insurance contributions,
- pensions paid by insurance companies on the basis of previous payments of employers in order to buy up a part of pension, if those payments were not subjected to taxation,

- retirement instalments paid by insurance companies on the basis of previous payments of employers, if those payments were not subjected to taxation,
- pensions paid to entrepreneurs who were self-employed or the ones who were paying corporate income tax, as well as to other persons on the basis of previous payments of compulsory insurance contributions if it was regarded as tax deduction or expenditure,
- pensions of residents acquired abroad

Receipts in kind are: usage of buildings and means of transport, favourable interests for loans, acquiring or optional buying of shares under favourable condition and other privileges that employers vest to their employees.

10.1.1 *Tax allowances and credits*

10.1.1.1 Standard allowances

Income tax is calculated and paid, as a rule, once a year (annual tax application). This amount is deducted by the tax amount that employees pay in advance, generally on a monthly basis.

Allowances that reduce the tax base for a resident taxpayer include:

1. General allowance: 31 200 kuna (monthly 2 600 kuna) in 2016 for all resident taxpayers. With Act on Amendments of Income Tax Act (Official Gazette Nos. 143/14) that entered into force from 1 of January of 2015, general allowance was increased from 2 200 kuna to 2 600 kuna monthly, and for pension beneficiaries from 3 400 kuna to 3 800 kuna.

- additional general allowance:
 - residents that reside in the area of local self-government units categorized as underdeveloped regions in the I. group development level as well as the ones that reside in the Town of Vukovar use a right on additional allowance in the amount of 42 000 kuna (monthly 3500 kuna),
 - residents that reside in the area of local self-government units categorized as underdeveloped regions in the II. group development level use a right on additional allowance in the amount of 36 000 kuna (monthly 3000 kuna),

2. Family allowances are granted to residents who support their family members or in a case that a taxpayer, his dependent family members or children are disabled (general allowance increases for this amount):

- If a taxpayer provides support to a member of immediate family, or if he has an obligation to pay the alimony to a former spouse, than the additional allowance is granted to him in the annual amount of 15 600 kuna (coefficient 0,5*general allowance)
- An additional allowance of 15 600 kuna (coefficient 0,5) is given for the first dependent child. For each subsequent child, tax allowance increases for the following amounts: - 21 840 kuna (coefficient 0,7) for the second child; 31 200 kuna (coefficient 1) for the third child; 43 680 kuna (coefficient 1,4) for the fourth child; 59 280 kuna (coefficient 1.9) for the fifth child. For sixth and each subsequent dependent child, factor of additional allowance is increased progressively. For the sixth child, previous coefficient increases for 0.6 (it is equal to 2,5 (0,6+1,9) - 78 000 kuna), for the seventh child previous coefficient increases for 0.7 (it is equal to 3,2 (2,5+0,7) - 99 840 kuna),

eighth child - 4.0 (3,2 + 0,8 - 124 800 kuna), ninth child - 4.9 (4.0 + 0.9 - 152 880 kuna), tenth child - 5.9 (4.9 + 1.0 - 184 080 kuna), etc.

- If a taxpayer, or his child, as well as any other dependent immediate family member, is a person with disability, additional allowance is granted to him in the amount of 9 360 kuna (coefficient 0,3) for each disabled person,
- In a case that a disability of 100% level has been determined for a taxpayer, or any dependent immediate family member, or a child, and/or if those persons have the right, due to determined disability, to assistance and care supplement, the amount of allowance is raised by 31 200 (factor 1,0) kuna. But in this case, taxpayer cannot use the allowance under previous point along with this one.

All monthly family allowances are calculated by multiplying the right coefficient and the monthly basic allowance. Family allowance is added to the general allowance. When calculating family allowances for pension beneficiaries, factors are multiplied with the basic allowance of 2600 kuna, although basic allowance for pension beneficiaries can amount 3 800 kuna at the most.

Residents that reside in the area of local self-government units categorized as underdeveloped regions and in the Town of Vukovar, use the right on the basic allowance in a higher amount (3 000 kuna and 3 500 kuna) and the right on family allowance which is calculated by multiplying the coefficients described under "Family allowances" and this higher basic allowance, if a dependent family members also reside in such region.

Additional general allowance and family allowance for underdeveloped regions and the Town of Vukovar are acknowledged in an annual computation of tax, and a tax amount paid in advance (monthly) for this categories of tax payers is calculated according to general and family allowances in the usual amount.

As mentioned before regarding the income from labour, monthly tax amount is paid in advance with basic and additional tax allowance taken in consideration, but in a monthly amount.

In a case when more persons (usually parents) support one or more members of immediate family, then tax deductions are assorted evenly, if the parents don't agree otherwise. Parents also can agree to split allowances in a different way, e.g. one takes x% and other 100-x%.

Immediate family members (taxpayer's spouse or a life partner, taxpayer's parent and the parents of his spouse or a life partner, ancestors and descendants in the direct line, stepmother and stepfather to whom adult stepchild provides support, former spouse or a life partner for whom taxpayer pays alimony and adult person to whom a taxpayer has been appointed as guardian) and children (also stepchildren, adopted children, children under guardianship) are treated as dependents if their annual taxable receipts, receipts which are not subject to taxation and other receipts that are not considered as income, do not exceed five amounts of basic tax deduction (13 000 kuna). Exceptionally, when determining the right to personal tax deduction for dependent immediate family members and dependent children, following receipts are not taken into consideration: social assistance benefits, child allowance, supports for a new-born child, receipts for equipment of a new-born child and survivors pensions acquired after a death of a parent.

Other tax reliefs applicable to income from employment

Tax deduction (allowance) for residents can also be increased for the amounts paid for compulsory health insurance, if a taxpayer is not insured in the compulsory health insurance on some other grounds (for instance, contributions for health insurance that some categories of insured persons pay for themselves). This tax relief is acknowledged in the annual tax computation up to prescribed amount.

Tax deduction can also be increased for donations (cash or in kind) made in the country, in the fields of culture, education, science, humanitarian work, sport, religion, to associations and other persons performing these activities. This tax relief is acknowledged in annual tax computation up to prescribed amount and in some specific cases in a higher amount.

10.1.1.2 Standard tax credits

There are no tax credits in Croatia.

10.1.2 *Income tax schedule (central government income tax)*

With Act on Amendments of Income Tax Act (Official Gazette Nos. 143/14) that entered into force from the 1 January of 2015, second tax bracket taxed with the rate of 25% was changed and now this rate is applied to the amount of tax base ranging from 2 200 kuna to 13 200 kuna (before the year of 2015, it was from 2 200 kuna to 8 800 kuna).

Tax schedule for 2016 is:

Tax base (monthly)	Rate
up to 2 200 kuna	12%
2 200 to 13 200 kuna	25%
above 13 200 kuna	40%

Taxation of salaries and pensions

Tax base is equal to the gross income deduced for social contributions paid from a receipt and the personal tax deduction. Contributions that reduce a taxable income are those included in the gross amount of a receipt and they burden an employee or a pension beneficiary. Gross salary is deduced for the compulsory pension insurance contributions that are equal to 20% of the gross salary.

Gross pension, if it is higher than prescribed amount (5 693 kuna for pensions paid in 2016), is deduced for the health insurance contribution that is equal to 3% of the gross pension. For pensions lower than this prescribed amount, health contributions burden the state and do not reduce the gross amount of pension.

Amount of basic personal tax deduction in the year of 2016 was 2 600 kuna for salaries, and 3 800 kuna for pensions. Both amounts can be increased under conditions described in paragraph – Family allowances.

10.1.3 *State and local income taxes*

Towns and municipalities can prescribe surtax to all taxpayers of income tax on their area applying the following rates:

- Municipality – up to 10%,
- Towns with population not higher than 30 000 – up to 12%,
- Towns with population higher than 30 000 – up to 15% and
- City of Zagreb up to 18%

These rates are applied to the amount of income tax. Institute of Public Finance has published an article that includes calculation of weighted average rate of surtax in the Republic of Croatia in the amount of 11.2%⁴ for the year of 2010 taking into account the population of towns/municipalities and local surtax.

Taxpayers of surtax are all taxpayers of income tax that reside in a town or a municipality that has prescribed surtax.

10.2 Treatment of family income

10.3 Social security contributions and payroll taxes

According to the Contributions Act, articles 21 and 22, social security contributions are calculated for receipts from employment that are liable to taxation by income tax.

10.3.1 Contributions payable by employees and benefit recipients

Contributions from salary (gross) - pension insurance contributions – rate of 20.0% (15% for the first pillar pension insurance and 5% for the second pillar) is applied to the gross salary. This amount burdens an employee and reduces the gross salary.

Contributions from pension (gross) – additional health insurance contribution – rate of 3% is applied just for the pensions in the gross amount higher than average net salary from January to August in a previous year (5 693 kuna). This amount burdens a pension beneficiary and reduces the gross pension.

10.3.2 Contributions payable by employers

Health insurance contribution – rate of 15.0%

Contribution for health protection at work (for the case of injury at a workplace or occupational disease)—rate of 0.5%

Employment contribution (insurance for the period of unemployment) – rate of 1.7%

These rates are applied on the gross salary, they burden the employers and do not reduce the gross salary.

10.3.3 Payroll taxes

10.4 Treatment of particular group

10.4.1 Young persons

Survivors' pensions received by children after death of their parents are not subjected to taxation, because these receipts are not treated as an income.

It should also be mentioned that from the year of 2015, according to Act on amendments of Contributions Act (Official Gazette, Nos. 143/14), employers are relieved from paying employment contributions in case

⁴ <http://www.ijf.hr/OP/2.pdf>

of employment of younger person up to 30 years of age, if a job contract was closed for continuous period and for the first time with that person.

10.4.2 Older workers

10.4.3 Others if applicable

Croatian Homeland War invalids acquire relieves applicable to income from employment and pension according to the level of disability.

Family members of Croatian Homeland War Defenders are relieved of paying the income tax for survivors' pension and compensation in the amount of survivor pension determined according to Act on the Rights of Croatian Defenders of the Homeland War and Members of Their Families.

Persons with disability acquire the right to a higher tax allowance.

Residents that reside on the area of local self-government units categorized as underdeveloped regions and in the Town of Vukovar use the right on basic allowance in a higher amount.

11. Part-time work

11.1 *Special benefit rules for part-time work*

1. Part-time working arrangement during maternity and parental leave (maternity and parental supports are described in appendix)

Employed or self-employed mother can use optional maternity leave as the right on half-time working arrangement, which can be extended up to the child's 9 months of age at the most. During this period, a beneficiary receives monthly salary compensation in the amount of her net salary. Employed or self-employed parent can use parental leave as a right on half-time working arrangement in duration twice the time of unused parental leave. If parental leave is used as the right on half-time working arrangement, employed or self-employed parent has the right to monthly salary compensation which amounts 50% of the budgetary basis (1 663 kuna). Budgetary basis for the year 2016 has been set at 3.326 kuna.

2. Part-time working arrangement due to intensive care of a child

After the conclusion of parental leave or using half-time working arrangement during parental leave, one of the employed parents acquires a right on the half-time working arrangement due to intensive care of a child till a child reaches age of 3, if a child is in a need of intensive care because of his health or developmental condition. In the period of using this right, employed or self-employed parent receives the cash benefit in the amount of 50% of the budgetary basis (1 663 kuna). Budgetary basis for the year 2016 has been set at 3.326 kuna.

3. Assistance and care supplement (described in appendix)

If a parent uses the right to half-time working arrangement during: maternity or parental leave or the leave due to intensive care for a child, as well as the leave for providing care to a child with grave developmental difficulties (in this case full leave or part time working arrangement during leave), then a child can be granted with assistance and care supplement in the reduced amount. During "usual" type of maternity and parental leave a child cannot receive assistance and care supplement.

4. A person who has fulfilled conditions for acquiring the old-age pension, can continue to work part-time or get a job with part-time working arrangement and receive old-age pension during this period.

11.2 *Special tax and social security contribution rules for part-time work*

12. Policy developments

12.1. Policy changes

12.1 Changes introduced : 2 July 2015 – 1 July 2016

1. Benefit for users with difficulties in settling energy products expenditures (described in chapter 5)

With Act of Amendments of Social Welfare Act, that entered into force from 24 September of 2015, this new benefit was introduced in Social Welfare system.

2. Guaranteed minimum benefit (described in chapter 4)

In September 2015 with Amendments on Social Welfare Act, amount of guaranteed minimum benefit has been raised for a single person who is incapable for work to 115% of the basis (920 kuna) and for a child of a lone-parent to 55% of the basis (440 kuna).

With same amendments, following regulations were abolished – “person doesn’t have the right to minimum benefit:

- if in a time period of three years before submitting an application for the benefit has sold or donated property, waived his/her right to inherit property or ceded his share of inheritance, if from the amount achieved by that sale, or the amount that corresponds the level of tax base for paying taxes for donated property, or the amount of his share of inheritance which he/she waived or ceded could assure allowance in the amount of guaranteed minimum benefit even after applying for benefit;

- homeless person temporary situated in a shelter

3. Personal disability benefit – child less than one year old is no longer included in categories that cannot apply for benefit.
4. Assistance and care supplement – child less than one year old is no longer included in categories that cannot apply for benefit.
5. Child allowance

With Act of Amendments of Child Allowance Act that entered into force in September of 2015, it was prescribed that child who became disabled before it reached 18 years of age or during regular schooling is entitled to allowance in the amount of 25% of budgetary basis for a period that is no longer limited to 27 years of age (as before this amendments), but receives the benefit as long the disability exists.

6. Average net wage

Maximum amount of unemployment benefit is set, in a manner explained in chapter 2, according to average net wage in Croatia for previous year. Therefore, for calculation of max amount of unemployment benefit in 2016, average net wage in 2015, which was equal to 5 711 kuna, should be regarded. In 2014, average net wage was equal to 5 533 kuna, and in 2016 to 5 685 kuna. It should be noted that, starting with January 2016, administrative source was used to compile data

on average monthly gross earnings, and data from January 2016 and onwards are not comparable to previous monthly data.

7. Minimum gross wage

In 2016, minimum gross wage was equal to 3 120 kuna, while in 2015 it was equal to 3 029,55 kuna. Cash allowance during vocational training and minimum amount of unemployment benefit are calculated according to minimum gross wage in a manner explained in chapters 2 and 3.

12.2 *Changes announced since 1 July 2016*

1. Tax system

Within 2017 tax reform, new Income Tax Act (Official Gazette, Nos. 115/16), that entered into force in January of 2017, has introduced several changes regarding taxation of income:

- basic tax allowance was raised from 2 600 kuna to 3 800 kuna monthly,
- additional family allowances for taxpayers that support children and other dependent family members were also raised, and monthly allowances are now equal to:
 - 1 750 kuna for the first child,
 - 2 500 kuna for the second child,
 - 3 500 kuna for the third child,
 - amount of allowance is raised for each following child...
- income tax rates and tax brackets were altered in following manner:
 - rate of 24% is applied to the monthly amount of tax base from 0 – 17 500 kuna, and
 - rate of 36% is applied to the higher amounts of tax base,
- children and immediate family members are treated as dependents if their earnings do not exceed 15 000 kuna. Before 2017, this amount was set at 13 000 kuna.
- amount of tax that pension beneficiaries have to settle is reduced for 50%,
- amount of tax that taxpayers residing in the Town of Vukovar and underdeveloped regions of the I. group have to settle is reduced for 50%.

2. Unemployment insurance

New Act on Employment Mediation and Unemployment Rights (Official Gazette, Nos. 16/17), that entered into force in March 2017, has prescribed a different basis and rates for calculation of unemployment cash benefit. Basis for calculation of this benefit was increased and it is now equal to beneficiary's average gross wage in a period of three months before termination of employment. Beneficiary is now entitled to 60% of the basis in first 90 days of unemployment period, that is 30% of the basis for the rest of benefit usage period. According to previous Act, although a beneficiary was entitled to 70% of the basis in first 90 days of unemployment period, that is 35% of the basis for the rest of benefit usage period, the basis for calculation of unemployment benefit was lesser and equal to gross wage reduced for compulsory contributions (20% of the gross). The maximum amount of benefit that a beneficiary can receive remained the same as the one prescribed by previous Act – 70% of the average net salary in the Republic of Croatia in first three months of unemployment, that is 35% of the average net salary for a remaining period.

Therefore, a beneficiary whose earnings were lower than certain amount and corresponded to the amount of benefit below the maximum set by the Act, will receive a higher benefit than the one granted in line with the previous Act.

Conditions for granting the Cash assistance to a person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs have also changed in March 2017. Beneficiary is now entitled to this benefit if he has performed seasonal job for at least 6 months for the same employer, and will work for him at least a season, while regulation that were in force before March 2017 prescribed that beneficiary should work for the same employer for at least 3 seasons or has been working for him at least 3 seasons.

3. Unemployment assistance

With Act on Amendments of Act on Employment Encouragement (Official Gazette, Nos. 16/17), that entered into force in March 2017, several changes were introduced regarding the measure of professional development without conceiving employment. Financial assistance received by beneficiaries of this measure was increased from 2 400 kuna to 2 620 kuna which is an amount equal to minimum wage reduced for compulsory contributions (20% of the gross). Also, according to mentioned amendments, scope of beneficiaries that can apply for this measure is now limited to younger unemployed persons, up to 30 years of age, that satisfy other conditions prescribed by the Act.

4. Minimum gross wage

In 2017, minimum gross wage is equal to 3 276 kuna, while in 2016 it was equal to 3 120 kuna. Cash allowance during vocational training and minimum amount of unemployment benefit are calculated according to minimum gross wage in a manner explained in chapters 2 and 3.

ANNEX

Definition of social security contributions and payroll taxes.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.

Other benefits that can be entitled within Croatian social welfare system

Rights granted according to Social Welfare Act

Personal disability benefit

Personal disability benefit is a financial support intended for persons with severe disability or other serious long-term changes in health condition, in order to meet their basic needs for inclusion in the daily life of the community.

A beneficiary of personal disability benefit cannot simultaneously exercise the right to assistance and care supplement granted in accordance with Social welfare act or other regulations.

Personal disability benefit cannot be entitled to:

- person who exercise a right for disability benefit on some other grounds;
- person who owns a house or apartment, beside house or apartment where he resides, that can be alienated or rented;
- person who owns office space that isn't used for registered business activity;
- child or adult who exercises the accommodation service or service of organized housing in accordance with Social welfare act or other regulations.

Personal disability benefit amounts 250% of the basis (1 250 kuna), for a person who does not have his own income. If a person earns an income of any kind beside the one mentioned in the next paragraph, personal disability benefit is calculated as the difference between the full amount of benefit and the average income acquired in three months prior to application for this right.

Income mentioned above does not include guaranteed minimum benefit and assistance in settling of housing costs, pensions up to the amount of the minimum pension for 40 years of pension insurance time, orthopaedic addition, child support that a child acquired on the ground of regulations arranging family relations, scholarship for pupils and students during regular schooling or studying and child allowance.

Assistance and care supplement

Assistance and care supplement is a cash benefit intended for person who cannot provide for his basic needs because of permanent changes in health condition, and therefore assistance and care of another person is much needed in organizing nutrition, food procurement, purchasing groceries, doing household chores, dressing, personal hygiene maintenance, and other basic needs.

This benefit cannot be acquired by a person:

- 1) who signed the lifelong support contract or contract for support until death
- 2) who owns a house or apartment, beside house or apartment where he resides, that can be alienated or rented in order to secure the means for assistance and care
- 3) who owns office space that isn't used for registered business activity
- 4) whose average monthly income exceeds 250% of the basis (1 250 kuna), or if average monthly income of household exceeds the amount of 200% of the basis (1 000 kuna), in three months before a month in which the application was submitted

- 5) who can achieve assistance and care supplement through some special regulation
- 6) who was granted with personal disability benefit according to Social Welfare Act or other regulations
- 7) who has been provided with accommodation in social welfare institution, at other providers of social services, in health institution or in other institution,
- 8) who uses the social service of organized occupancy

Assistance and care supplement can be granted in full or reduced amount, depending on whether there is an urgent need of assistance and care in full or reduced volume.

The amount of allowance:

- In the full amount - 100% of prescribed basis (500 kuna)
- In the reduced amount - 70% of prescribed basis (350 kuna).

Assistance and care supplement (non means tested) in the full amount, regardless of conditions stated in items 2, 3 and 4 described in the paragraph above, can be acquired by

- person with severe disability,
- person with severe continuous changes in health condition,
- blind, deaf and deaf blind person who is unable to live and work independently.

Assistance and care supplement (non means tested) in the reduced amount, regardless of conditions stated in items 2, 3 and 4 described in the paragraph above, can be acquired by

- blind, deaf and deaf blind person who is capable of independent life and work and
- person who is totally deprived of work capacity.

A child whose parent uses maternity or parental leave, or employment standstill until the child reaches age of three, cannot achieve the right to assistance and care supplement. However, a child whose parent uses the right for half-time working arrangement during the leave, right for half-time working arrangement because of child's need of intensive care, right for half-time working arrangement or leave because child needs intensive care due to developmental difficulties can achieve right to assistance and care supplement in reduced amount if all other conditions are met.

A beneficiary of the assistance and care supplement, exceptionally can be provided with the social service of house assistance for needs described for acquiring this benefit, which cannot be attended by family members.

Parent caregiver status

Status of parent caregiver is granted by a social welfare centre, to one of the parents of a child with developmental difficulties, or of a person with disability, if one of following conditions is met:

- a) child is totally dependent on the assistance and care of another person because it is crucial for child's life support to be provided with specific care by performing a medical-technical intervention, for which the parent is qualified by doctor's recommendation,
- b) child is completely motionless even with the help of orthopaedic devices,
- c) child has several kinds of severe impairments (physical, mental, intellectual or sensory), and therefore is completely dependant on the assistance and care of another person for satisfying his basic needs .

In a family with two or more children with developmental difficulties or with disability, status of parent caregiver can be granted to both parents.

If one of the parents uses maternity, parental or adoption leave, status of parent caregiver for the same child cannot be granted to the other parent. This status also cannot be granted if a child with developmental difficulties, or person with disability, uses social services of accommodation, organized occupancy or daily stay (even if it is a half-day arrangement). But it can be granted if a child stays in a pre-school, educational or health establishment or in a social welfare home for less than four hours per day.

Caregiver parent is entitled to the compensation in the amount of five basis (2 500 kuna), pension and health insurance rights as well as unemployment rights, as a person employed under special regulations. If a child is medically treated, parent caregiver has the right for this compensation if the treatment does not last longer than two months.

Status of caregiver parent ceases:

- by request of a parent caregiver or caregiver (other member of a family),
- If a parent caregiver or caregiver is unable to provide care because of physical or psychological condition,
- if a parent caregiver or caregiver doesn't provide proper care for unjustified reasons,
- if a parent caregiver or caregiver is in custody, investigation prison or serves prison sentence longer than two months,
- if a parent caregiver or caregiver reaches 65 years of age. But this condition does not apply in a case when this status cannot be granted to other family members,

Up-to employment benefit

Up-to employment benefit can be granted to a child with developmental difficulties, or to a person with disability, for whom physical, mental, intellectual or sensory impairment has been established after finishing primary school, high school or university, but earliest at 15 years of age.

Other condition for granting the benefit is that a beneficiary doesn't receive compensation during the unemployment period and that he is registered as unemployed person in Croatian Employment Service or that temporary unemployability has been established.

This right cannot be acquired by a person for whom the complete incapacity to work has been established.

The amount of this benefit is set at 70% of basis (350 kuna). A beneficiary of this compensation cannot simultaneously be provided with assistance and care supplement.

The right ceases when a beneficiary becomes employed, but it can be re-acquired in case of termination of employment (that occurred without beneficiary's fault) and if a beneficiary does not acquire unemployment benefit.

Lump-sum benefit

Lump-sum benefit is granted to a single person or a household who, due to current material difficulties, are not able to meet some basic needs caused by the birth or education of a child, illness or death of a family member, natural disasters, etc. (it can exceptionally be granted to users of social services of

accommodation and organized occupancy if the needs described here are not met within these social services).

Lump-sum benefit can be granted:

- for the procurement of basic household items or necessary clothing and footwear if there is no option of ensuring these necessities in cooperation with humanitarian organizations.
- to a beneficiary of accommodation in a foster family if he attends primary school or high school, for purchasing school books, if this right cannot be achieved on other grounds.
- to a beneficiary of temporary accommodation during certain crisis situation for compensation of travel costs to: a place of residence, place where his family or foster family is located, social welfare home, other provider of service or other establishment.

Lump-sum benefit can be granted as compensation in cash or in kind. Social welfare center can acknowledge a compensation in kind if there is a reasonable assumption that the beneficiary won't use it for a purpose the compensation was given.

The total annual amount of all granted lump-sum benefits cannot exceed the value of five basis (2 500 kuna) for individual, that is seven basis (3 500 kuna) for a household.

Increased lump-sum benefit

In particularly justified cases, social welfare center can grant lump-sum benefit in the increased amount with previous consent of the Ministry of Demographics, Family, Youth and Social Policy. It can be granted in the amount not higher than 10.000 kuna.

When submitting the request to the Ministry, social welfare center is obliged also to submit social and anamnestic information, evidence of the justification for request and amount needed to cover the need.

Maternity and parental supports

Employed or self-employed parent, in order to receive the full amount of benefit, has to acquire at least 12 months of insurance time in mandatory health insurance continuously or 18 months with interruptions in period of 2 years. Unless this condition is met, all salary compensations during maternity or parental leave are reduced to 50% of budget basis.

Budgetary basis, used for the calculation of maternity and parental cash supports, for year 2016 has been set at 3 326 kuna.

Maternity leave

Employed or self-employed pregnant women or employed or self-employed mother during pregnancy, childbirth and care for a newborn child is entitled to maternity leave for a period of 28 days before the expected birth up to the child's 6 months of age, which consists of compulsory and optional maternity leave. Employed or self-employed pregnant women or employed or self-employed mother uses the right to compulsory maternity leave for a continuous period of 98 days, of which 28 days before the expected birth

and 70 days after childbirth. Exceptionally, employed or self-employed pregnant women can start using maternity leave 45 days before expected birth if a doctor gynecologist makes such decision.

After the expiration of compulsory maternity leave employed or self-employed mother has the right to use optional maternity leave up to the child's 6 months of age.

Employed or self-employed mother can use optional maternity leave as a right on half-time working arrangement, which can be extended up to the child's 9 months of age at the most.

During the maternity leave and the usage of the right on half-time working arrangement during optional maternity leave, employed or self-employed mother has the right on monthly salary compensation in the amount of her net salary (average net salary in last 6 months before the leave).

Person insured in the compulsory health and pension insurance based on: closed contract on professional development without conceiving employment, status of parent caregiver and person who provides help and care to Croatian Military War Invalid, receives compensation in the amount of 50% of budgetary basis (1 663 kuna) during maternal leave or the right to half-time working arrangement during optional maternity leave.

Parental leave

After the maternity leave, given for the first 6 months of child's life, has expired, employed or self-employed parent has the right to parental leave, in duration of 6, 8 or 30 months (it depends on the number of children and the manner of usage of the right): 6 (one parent) or 8 months (both parents) for first and second child, and 30 months for birth of twins, third and every child that follows). Parental leave can be used by both parents (each one for the period of 4 or 15 months). If the parental leave is used by only one parent, it is used in the duration of 6 months for first and second child, and 30 months for the birth of twins, third and every child that follows.

Employed or self-employed parent can use parental leave as the right on half-time working arrangement in duration twice the time of unused parental leave.

During the first 6 months of parental leave (if only one parent is using this right) or 8 months (if this leave is used by both parents), employed or self-employed parent has the right to monthly salary compensation in the amount of his/her net salary, but in the case of the parental leave it cannot be higher than 80% of the budgetary basis (2 661 kuna), or less than 50% of the budgetary basis (1 663 kuna). So, it's most common that in the first six months of parental leave, parent receives 80% of the budgetary basis (2 661 kuna) and for the remaining time of parental leave (24 months more for the birth of twins, third and every child that follows), 50% of the budgetary basis (1 663 kuna).

If parental leave is used as the right on half-time working arrangement, employed or self-employed parent has the right to monthly salary compensation which amounts 50% of the budgetary basis (1 663 kuna).

Person insured in the compulsory health and pension insurance based on: closed contract on professional development without conceiving employment, status of parent caregiver and person who provides help and care to Croatian Military War Invalid, receives compensation in the amount of 50% of budgetary basis (1 663 kuna) during parental leave or half-time working arrangement during parental leave.

Maternity and parental exclusion from work

Maternity and parental exclusion from work is entitled to: parent acquiring other income (on which compulsory contributions are paid and in that manner he became insured in compulsory health insurance), parent agricultural worker (who is performing activity of agriculture or forestry as sole or main occupation if he is an owner, proprietor or leaseholder and in that manner he became insured in compulsory health and pension insurance, but he is not a taxpayer of income or profit tax) and unemployed parent under conditions described in the next paragraph.

Unemployed mother who has acquired a status of unemployed person according to the employment regulations, from the point of the birth of a child, has a right to maternity and parental exclusion from work and a right for a compensation if she:

- is a Croatian citizen or foreign citizen with approved permanent stay in Republic of Croatia,
- continuously resided or had approved permanent stay in Republic of Croatia for at least 3 years,
- is insured in compulsory health insurance,
- is registered as unemployed in Croatian Institute for Employment for at least 9 months continuously or 12 months with interruptions in a period of 2 years before the birth of a child, or that she has registered herself in a period of: - 90 days after finishing regular school or university or 30 days after final exam, - 30 days after cancelling the attendance of regular school or study, - 30 days after termination of employment, service, self-employment or receiving sick leave benefit, if in that moment she has acquired at least 6 months of continuous pension insurance time. It is considered that an unemployed mother has fulfilled condition described under this point if she is not registered as unemployed because of acquiring income according to income tax regulations on which compulsory contributions are being calculated according to special regulations or because of using maternity and parental rights or supports.

Beneficiaries are not entitled to maternity and parental exclusion from work if they have lost their status of insured person in the compulsory health insurance and in period of 30 days haven't acquired it again (unemployed persons registered in the Employment Office are compulsory insured in basic health insurance).

Parent can use maternity exclusion from work until child fulfils 6 months of life (mother is obligated to use it for 70 days after birth). After the expiration of this right, unemployed parent can use parental exclusion from work in the duration up to child's age of one year (for first and second child) and up to child's age of three years (for birth of twins, third and every child that follows).

Beneficiary has the right to a compensation in the monthly amount of 50% of the budgetary basis (1 663 kuna) during the maternity and parental exclusion from work.

Maternity and parental care for a new born child

Mother outside the labour system, has the right to cash assistance during maternity and parental care for the new born child if she:

- is a Croatian citizen or foreign citizen with approved permanent stay in Republic of Croatia,
- has a residency or approved permanent stay in Croatia for at least 5 years,
- is insured in compulsory health insurance.

Under maternity care it is understood a period of time from the child birth until 6 months of child's life (mother is obligated to use it for 70 days after birth). Parental care encompasses time period from 6 months of life until child's 1 year of age (for first and second child) or 3 years of age (for twins, third and every child that follows).

Following categories belong to persons outside the labour system:

- pension beneficiary,
- user of the right on professional rehabilitation,
- person to whom the right to disability pension due to the professional incapacity to work has been granted,
- person incapable for work according to the social welfare regulations,
- person to whom other person provides support, according to the special regulations,
- person who is attending regular school or university,
- person who can't achieve status of beneficiary through: employment, self-employment, acquiring other income, status of unemployed person or as agriculture worker, but he is insured in compulsory health insurance.

Exceptionally, mother outside the labour system who, during the usage of this right, finishes regular school or university, cancels attending school or university or puts her obligations in school or university in standstill, is still entitled to this right for a period prescribed, if she registered herself as unemployed in Croatian Institute for Employment in a period of 30 days after finishing or cancelling school or studies.

Beneficiaries are not entitled to maternity and parental care for a new born child if they have lost their status of insured person in compulsory health insurance and in period of 30 days haven't acquired it again.

Beneficiary has a right to a cash benefit in the monthly amount of 50% of the budgetary basis (1 663 kuna) during maternity and parental care for a new born child.

Supports for adoptive parent

Adoptive parent, if he is insured in compulsory health insurance provisions, has a right on related temporal leaves or exclusions from work, as well as salary compensations or other forms of cash benefits from the day of a valid decision on adoption. The scope of the mentioned rights depends on the working status of an adoptive parent, as well as of the age of an adopted child.

Employed or self-employed adoptive parent can use the right on adoptive parent leave in duration of six months for a child younger than 18 years of age. In a case of adoption of: twins, two or more children, or a child that becomes third child (or every child that follows) in that family and a child with developmental difficulties, adoptive parent leave is prolonged for 60 days. After the expiration of this leave, employed or self-employed adoptive parent of a child younger than 8 years of age has the same rights as employed or self-employed parent for parental leave. During the adoptive parent leave compensation is the same as for maternity leave.

If an adoptive parent is unemployed, he can acquire a right to adoptive exclusion from work, and if he is a person outside the labour system he can acquire a right to adoptive care for a child. In both cases, right lasts for 12 months but it can be prolonged for 60 days in a case of adoption of: twins, two or more children, or a child that becomes third child (or every child that follows) in that family and a child with developmental difficulties. Also, in both cases beneficiary has a right to a cash benefit in the monthly amount of 50% of the budgetary basis (1 663 kuna).

Unemployed adoptive parent has a right to adoptive exclusion from work and a right for the compensation if he:

- is a Croatian citizen or foreign citizen with approved permanent stay in Republic of Croatia,
- continuously resided or has approved permanent stay in Republic of Croatia for at least 3 years,
- is insured in compulsory health insurance,
- is registered as unemployed in Croatian Institute for Employment for at least 9 months continuously or 12 months with interruptions in a period of 2 years before the birth of a child, or

that he has registered himself in a period of: - 90 days after finishing regular school or university or 30 days after final exam, - 30 days after cancelling the attendance of regular school or study, - 30 days after termination of employment, service, self-employment or receiving sick leave benefit, if at that moment he has acquired at least 6 months of continuous pension insurance time. It is considered that unemployed parent has fulfilled condition described under this point if he is not registered as unemployed because of acquiring income according to income tax regulations on which compulsory contributions are being calculated according to special regulations or because of using maternity and parental rights or supports.

Employed or self-employed adoptive parent during the adoptive parent leave receives compensation in the amount of his net salary. After the expiration of adoptive parent leave, employed adoptive parent can use parental leave during which he receives the same compensation as employed parent (2b).

Unemployed adoptive parent or that outside the labour system receives benefit in the amount of 50% of budgetary basis (1 663 kuna) during adoptive exclusion from work or adoptive care for a child.

Leave for providing care to a child with grave developmental difficulties

Employed or self-employed parent of a child with grave developmental difficulties (child with serious physical or mental impairments or with serious mental illness), after the expiration of the right for maternity leave and during the usage of the right for paternal leave or after the expiration of this right, has the right on the leave for providing care to a child up to child's 8 years of age. Parent has a right for a monthly compensation in the amount of 65% of the budgetary basis (2 162 kuna), during this period.

Employed or self-employed parent of a child with grave developmental difficulties can use this right as the right on half-time working arrangement and continue to use it after child reaches 8 years of age, as long as there is a need for this right and he receives a compensation in cash in the amount of a salary earned that month for a half time working arrangement deduced for contributions on pension insurance, tax and surtax. Self-employed parent has a right on compensation in cash in the amount of 50% of the basis for calculation of compulsory health insurance contributions during the period he is using this right as the right on half-time working arrangement.

Other rights for maternity and parental benefits include: right on the half-time working arrangement due to intensive care for a child (because of child's health or developmental condition), leave in a case of a child's death, transfer of rights to other parent, day off from work for prenatal examination, break from work for breastfeeding a child, employment standstill up to child's age of 3, leave from work for a pregnant woman, woman who gave birth or woman who's child is in a need of breastfeeding if she is performing work that can cause damage to her health or health of a child in a need of breastfeeding.

Employed or self-employed parent has a right for a monthly compensation in the amount of 65% of the budgetary basis (2 162 kuna), during the leave (this leave starts after the expiration of the maternity and parental leave or during the usage of parental leave).

If employed parent uses leave for providing care to a child with grave developmental difficulties as a half-time working arrangement, he receives a compensation in cash in the amount of a salary earned that month for a half time working arrangement deduced for contributions on pension insurance (20% of the gross), tax and surtax. Self-employed parent for the same arrangement has the right on compensation in cash in the amount of 50% of the basis for calculation of compulsory health insurance contributions.

Cash lump sum assistance for a new born child

Following categories of parents are entitled to the cash lump sum assistance for a new born child, if in the time of a childbirth they have a status of Croatian citizen with residency or status of foreign citizen with approved permanent stay in the Republic of Croatia for at least 12 months continuously and if they are insured in compulsory health insurance:

- employed person, insured in the compulsory health and pension insurance on the ground of his work,
- self-employed person insured in the compulsory health and pension insurance on the grounds of self-employment (persons performing: activity of trade and activities equalled to trade, professional activity as independent profession, activity of agriculture and forestry as sole or main profession if they are taxpayers of income or profit tax),
- person acquiring other income on which compulsory contributions are paid and in that manner he became insured in the compulsory health insurance,
- agricultural worker who is performing activity of agriculture or forestry as sole or main occupation if he is owner, proprietor or leaseholder and in that manner he became insured in the compulsory health and pension insurance, but he is not a taxpayer of income or profit tax,
- Unemployed person according to employment regulations (State pays health contributions),
- Person who is elected or appointed in government bodies or local/regional self-government bodies if he receives salary and is insured in the compulsory health and pension insurance on this ground,
- person who is a board member in a company if he is insured in compulsory health and pension insurance on this ground,
- person who has closed contract on professional development without conceiving employment and in that manner he became insured in the compulsory health and pension insurance,
- person with the status of parent caregiver and in that manner he became insured in the compulsory health and pension insurance,
- person who provides help and care to a Croatian Military War Invalid and in that manner he became insured in compulsory health and pension insurance.

Following categories of parents outside the labour system are entitled to cash lump sum assistance for a new born child, if in the time of a childbirth they have a status of Croatian citizen with residency or foreign citizen with approved permanent stay in Republic of Croatia for at least 5 years continuously and if they are insured in compulsory health insurance:

- pension beneficiary,
- beneficiary of the right on professional rehabilitation,
- disability pension beneficiary due to professional incapacity to work,
- person incapable to work according to the social welfare regulations,
- person to whom other person provides support, according to the special regulations,
- person who is attending regular school or university,
- person who can't achieve status of beneficiary in a manner described in first five points of previous paragraph (employed,...,unemployed), but he is insured in compulsory health insurance

In order that beneficiaries apply for this benefit, child has to be insured in compulsory health insurance, registered in the birth record and registered as a member of beneficiary's household.

Lump sum assistance for a new born child is also entitled to an adoptive parent, if he belongs to one of the categories described in previous two paragraphs, and if assistance for the adopted child hasn't been paid previously to other beneficiary.

This financial assistance is provided in the amount of 70% of the budgetary basis (2 328 kuna).

Benefits related to foster care

Person, in order to become a foster parent has to:

- be a Croatian citizen (exceptionally a foreign citizen if it is in the best interest of beneficiary),
- be adult,
- have a place of residence in the Republic of Croatia,
- possess legal competence,
- fulfil requirements related to his health condition,
- finish primary school,
- be capable to provide care that is necessary for a beneficiary, also to provide protection, guardianship, nurturing, education and settling other needs, according to expert evaluation of a foster care team
- fulfil prescribed housing and financial conditions.

Monthly income of a foster parent or a foster family has to be at least for 70% higher than the amount of the income support (subsistence allowance that was replaced with the guaranteed minimum benefit in 2014). Exception is a foster parent related to a beneficiary, who doesn't have to fulfil this condition.

Age difference between foster parent and fostered child must be higher than 20 years and lower than 50 years (except if the members of a foster family are related to beneficiary or it is in beneficiary's best interest).

As a rule, foster family provides care to the same type of beneficiaries, separately for children and separately for adults. Three children (or four adults) at the most can be accommodated in a foster family, that is two children (or two adults) with single foster parent (there are some exceptions from this rule).

License for foster care is acknowledged for a period of 5 years with possibility to renew it. Before issuing a license, a foster parent has to complete the training program that will enable him to perform foster care (foster parent related to a beneficiary also has to fulfil this condition but it doesn't have to necessary be before issuing a license).

Amounts of benefits depend on the number and category of beneficiaries of foster care and it is calculated as percentage of the basis, which is equal to 500 kuna.

a. Foster parent benefit

Amount of benefit is equal to:

- 80% of the basis (400 kuna) for every child and younger adult who is a beneficiary of foster care. Foster parent receives additional 25% of the basis (125 kuna) if a child or younger adult suffers from physical, mental, intellectual or sensory disability or has behavioral problems. Foster parent receives additional 60% of the basis (300 kuna) if a child or younger adult is HIV positive or suffers central hypoventilation syndrome.

- 60% of the basis (300 kuna) for every adult beneficiary of foster care. Foster parent receives additional 15% of the basis (75 kuna) if an adult beneficiary is experiencing difficulties with motions. Foster parent receives additional 20% of the basis (100 kuna) if an adult beneficiary of foster care is motionless or is suffering from mental or severe intellectual disability. Foster parent receives additional 50% of the basis (200 kuna) if an adult beneficiary is HIV positive.

If a foster parent provides care for just one beneficiary (child or adult) then the basic benefit (400 kuna for a child and 300 kuna for an adult) increases for 20% of the basis (100 kuna).

b. Compensation for accommodation in foster family

Amount of compensation depends on the age and needs of a beneficiary accommodated in a foster family:

- for accommodation of juvenile who can't achieve proper physical or psychological development and upbringing in his own family, compensation is equal to 360% of the basis (1 800 kuna) for a pre-school child and 400% of the basis (2 000 kuna) for a child who is attending school
- for accommodation of a child with disability or a child obstructed in physical or psychological development, compensation is equal to 400% of the basis (2 000 kuna) for a pre-school child and 440% of the basis (2 200 kuna) for a child who is attending school
- for accommodation of a child who is HIV positive or is suffering from central hypoventilation syndrome, compensation is equal to 1250% of the basis (6 250 kuna)
- For accommodation of an adult or elder person compensation is equal to 360% of the basis (1 800 kuna) for a person that hasn't got difficulties with motions, 400% of the basis (2 000 kuna) for person that is experiences difficulties with motions and 480% of the basis (2 400 kuna) for motionless person.

If a social welfare beneficiary, because of his health condition, disability, character features and other conditions, has specific increased needs that require larger extent and quality of services that have to be provided in a foster family, then the amount of benefit described under points above can be raised for 20% (of the basic benefit) at the most. If a juvenile accommodated in a foster family uses public transportation on his way to school, then this compensation is increased for the travel expenses.